EAST INDIA PETROLEUM PRIVATE LIMITED
VISAKHAPATNAM

HR MANUAL

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1. INTRODUCTION

1.1 Mission

- To recruit, develop and retain the best employees
- To enable and empower employees to run the company the way they conduct their lives
- To align employees' goals with company's business goals and strategies so as to ensure further growth of stakeholders' value

1.2 Values

EIPL always believes in and the employees are encouraged to practice the following values:

- Team Work
- Mutual Respect
- Transparency

1.3 Grades & Designations

The following grades and designations are evolved for the purpose of accountability and responsibility at various levels:

Grade	Designation	
	Technical	Non Technical
E1 / C1	Technician	Assistant
E2 / C2	Sr. Technician	Sr. Assistant
E3 / C3	Engineer	Officer
E4 / C4	Senior Engineer	Senior Officer
E5 / C5	Assistant Manager	Assistant Manager
M1	Deputy Manager	Deputy Manager
M2	Manager	Manager
M3	Senior Manager	Senior Manager
G1	Asst. General Manager	Asst. General Manager
G2	Deputy General Manager	Deputy General Manager
G3	General Manager	General Manager
G4	Senior General Manager	Senior General Manager
V1	Associate Vice President	Associate Vice President
V2	Vice President	Vice President
V3	Senior Vice President	
GET / MT	Graduate Engineer Trainee	Management Trainee
DET	Diploma Engineer Trainee	--
--	Chief Executive Officer	

2. RECRUITMENT

2.1 Purpose

To support the organization by staffing best employees as per the approved organization structure and also manpower requirements that arise from time to time

2.2 Recruitment Process

2.2.1 Man Power Planning

- The manpower plan shall be prepared based on the volume of operations, customers' requirements in terms of terminal services etc. Whilst planning, the period of requirement of a particular position in terms of requirement shall also be considered. The planning process shall normally be done well in advance as far as possible.

- As and when the manpower is required, the concerned HoD shall raise a manpower requisition to HR&A Dept., specifying the exact description of skills and knowledge that is expected of the candidate. Based on the requisition, the HR&A Dept., shall first check the availability of such resources in the existing resource pool. In case of non-availability of such resources, HR&A shall go ahead and plan for recruitment. Necessary approvals from the competent authority prescribed in this regard shall have to be ensured by HR&A Dept.

2.2.2 Lead Time

- HR & A will have to staff the required manpower as per the lead-time indicated below. In case there is change in requirements, the concerned HoD shall intimate HR&A accordingly.

Grade	Lead Time
E1 / C1 – C3	30 Days
E4 / C4 – C5	60 Days
M1 and above	90 Days

2.2.3 Sourcing

- HR&A may resort to any of the following sources to identify prospective candidates – Press Advts. / Campus Rect. /Placement Agencies / Personal Contacts of Employees

2.3 Guidelines for Recruitment

2.3.1 Criteria for Recruitment

HR&A shall ensure that those candidates who are being considered for various positions meet the criteria defined in the table given below. Approval shall be taken from CEO in case there is any deviation from the criteria indicated.

Technical:

Grade	Min. Qualf.	% of Marks	Exp. (in Yrs.)	Relevant (in Yrs.)	Age (in Yrs.)
E1 – E2	Diploma in Engg.*	60% and above	1-3	1	Below 24
E3-E4	Diploma/ Degree in Engg.*	60% and above	4-9	6	Below 32
E5 - M2	Diploma/ Degree in Engg.*	60% and above	6-12	8	Below 35
M3-G1	Diploma/ Degree in Engg.**	60% and above	10-15	12	Below 40
G2-G4	Degree in Engg.**	60% and above	14-18	16	Below 45
V1-V3	Degree in Engg.**	60% and above	16-22	18	Below 50

(* Engg.Trade as per the Requirement **Additional qualifications in Management preferred)

Non Technical:

Grade	Min. Qualf.	% of Marks	Exp. (in Yrs.)	Relevant (in Yrs.)	Age (in Yrs.)
C1 – C2	Matriculate	60% and above	1-3	1	Below 24
C3 – C4	Graduation*	60% and above	2-5	3	Below 27
C5 – M2	Post Graduation* / CA /MBA	60% and above	4-9	6	Below 32
M3 – G1	P.G* / CA /MBA	60% and above	6-12	8	Below 35
G2 – G4	P.G* / CA/ACS/ FCA/MBA**	60% and above	10-15	12	Below 40
V1 – V3	P.G* / CA/ACS/ FCA/MBA**	60% and above	14-18	16	Below 45

(*Respective Subject as per the Requirement ** Additional Qualifications in respective areas are preferred)
P.G.-Post Graduation

Whilst fixing grade/designation, the experience and qualifications factors shall be considered

2.3.2 Experience

While reckoning experience, HR&A shall take into consideration the quality of experience that has put in by the candidate.

2.3.3 Educational Qualifications

The qualifications indicated in the criteria are preferred while short-listing a candidate for an interview. In exceptional circumstances, the Head of HR may move a deviation on the educational qualification with the approval of CEO.

2.4 Selection Process

The main objective of selection process is to select the most suitable and competent persons from the pool of prospective candidates available.

The selection process is categorized as under:

a. Experienced Candidates
b. Trainees

2.4.1 Selection Process for Experienced Candidates

- Candidates meeting specifications shall be short listed by HR&A and put through an interview process consisting of concerned HoD or his authorized representative, Head of HR&A and any other HoD to be decided from time to time.

- The members of the interview panel shall be at level higher than the level for which interview is being conducted. HR&A shall ensure right and appropriate composition always.

2.4.2 Selection Process for Trainees

- Based on the requirements given by HoDs, HR&A shall decide either to go to a campus or call candidates for the position of Trainees. A Test/Group Discussion/Case Study, as appropriate shall be conducted for short listing the candidates.

- The short listed candidates shall be called for a personal interview by a panel consisting of concerned HoD or his

authorized representative, Head of HR&A and other HoD to be decided from time to time.

2.4.3 Documentation of Interview Panel Report

- The panel shall record their observations about the candidate soon after the interview in the 'Interview Analysis Form and 'Interview Observation Form' and forward to HR&A who shall then prepare the list of selected candidates

- HR&A shall document the level in which the candidate is being taken and C&B fixed on the Interview Analysis Form and obtain the approval of CEO/MD as per the authority prescribe in this regard

2.5 Compensation & Benefits Fitment

Whilst C&B fitment is done, the following guidelines are to be followed:

- C&B and Designation offered should be in line with the experience indicated in the Recruitment Guidelines grid

- C&B should be in line with the market and organizational reality

2.6 Antecedents Verification

Antecedents of selected candidates may be verified from the references given in their applications about the attitude, reliability, behavior etc before release of offer of appointment. Reference from candidates' previous employer may also be requested for, but only after the selected candidate reported to duties

2.7 Selection Advise to the Candidate & Appointment Order

- After the selection and C&B fixation of the candidate, HR&A shall issue a 'Selection Advise' to the candidate.

- On joining of the employee, the HR&A shall issue an 'Appointment Order' to the candidate, preferably on the day the candidate reported to his/her duties. There are various categories of appointment orders to be issued to candidates based on designation and type of employment that is being offered.

2.8 Joining of a New Employee

2.8.1 Joining Procedure

- This policy is to ensure that all joining formalities are completed when a new person joins the organization

- All new recruits shall undergo a medical examination by a doctor specified by the organization prior to the joining and medical report shall be included in his/her personal file.

- In case of any adversities found in the report, selection shall not be taken up until unless the same is viewed comprehensively in terms of job requirements, both present and future and also legal requirements apart from organizations' EM & OHSMS requirements. Any decision / permission for special consideration shall be accorded by CEO/MD only

- All new recruits shall fill up the following templates at the time of joining

  - Personal File
  - Joining Report
  - EPF & EPS's Declaration cum Nomination Form
  - ESI's Declaration Form
  - PA Policy Proposal Form, if applicable
  - Mediclaim Proposal Form
  - Gratuity Nomination Form
  - Application Form for Bank Account Opening
  - Any other specified by HR&A Dept

- The new recruit shall submit copies of the following documents along with the originals on the day of joining. All originals shall be returned after verification'

  - Proof of Age & Copies of Academic Certificates
  - 5 Passport Size Photographs
  - Experience Certificates & Salary Certificates
  - Relieving Order
  - Certificates of Achievements and Recognition

- HR&A shall scrutinize the documents and copies all documents listed above shall be filed in the personal file of the employee

2.8.2 Induction

- Once the candidate completes joining formalities, HR & A shall issue the employee a ID code and inform Finance Dept. for opening a bank account, concerned department for allocation of work station (chambers)

- The responsibility of general orientation of new employees rests with HR&A and that of job orientation rests with concerned HoD

- On the day of joining, HR&A shall issue a bulletin welcoming the new employee with brief introduction of employee

- HR&A shall ensure that the new employee gets familiarized with Company's Profile, Activities etc, Job Role etc

2.9 Regularization of Service of Trainees and Probationers

2.9.1 Objective: To lay down guidelines for Managers to monitor, review and develop the employees during probation

2.9.2 Coverage: Except G2 and above category, all other employees shall be covered

2.9.3 Duration: The duration of the probation/training period shall be for one year. The organization may exercise its discretion in certain cases and fix the probation period as appropriate

2.9.4 The probation/training of an employee ceases when his or her services are confirmed in writing by the competent authority

2.9.5 Procedure:

- HR&A shall maintain the list of candidates who are under probation/training and send the probation/training appraisal forms accordingly to the reporting officer 15 days before the completion of every quarter and/or the probation period

- The immediate reporting officer shall fill the prescribed form after holding discussion with the employee regarding his performance, strengths and areas for improvement

- The comments of the employee and the reporting officer shall be clearly recorded on the form and the form is to be sent to the reviewing officer

- The reviewer shall document his comments and return the form to HR&A before the completion of the quarter and/or probation period

- Based on the performance of the employee, the reporting officer and the reviewing officer may recommend for regularization of services of the employee or otherwise

- The extension of probation shall not be more than 6 months. At the end of the prescribed extended period, the employees' performance shall be evaluated as per cited above

- If the performance is still unsatisfactory after an extended period of probation, the competent authority shall have the discretion to terminate the employee from the services of the organization

Note: The probationary/training appraisal is the final step in the process of assessment of probationers/trainees. The appraisers are required to take the process seriously and endeavor to monitor and review the performance of the employee on an ongoing basis and provide immediate feedback to the employee especially where the performance is below expectation

3. EMPLOYMENT PRACTICES

3.1 Working Hours

Working hours of the organization is as follows:

Head Office/Registered Office & M.D.'s Office	:	09.30 Hrs – 18.00 Hrs
Lunch Break	:	13.30 Hrs – 14.00 Hrs

Terminal

General Shift	:	09.30 Hrs – 18.00 Hrs
Lunch Break	:	13.30 Hrs – 14.00 Hrs
1st Shift	:	00.01 Hrs – 08.00 Hrs
2nd Shift	:	08.00 Hrs – 16.00 Hrs
3rd Shift	:	16.00 Hrs – 24.00 Hrs

3.2 Attendance

- Attendance policy is based on the belief that all employees are responsible and be punctual at work
- All employees shall record their attendance by signing the attendance register at the commencement time. Attendance is available at respective receptions in HO/RO and MD's office and Control Room in the case of Terminal
- All the employees are expected to reach office on or before the commencement time
- Employees required to attend official work outside before reaching work premises are required to sign the register immediately on entering the premises
- Employees likely to be late for personal or official reasons are required to seek prior permission or intimate their superiors
- Leave availed shall be marked as 'PL/SL' as the case may be in the attendance register

- In case an employee sponsored for company training program, the same shall be marked as 'TR' in the register

- In case an employee is on outstation duty, the same shall be marked as 'OD' in the register

3.3 Leave Rules

EAST INDIA PETROLEUM PVT LIMITED

Office order No. 04/2008-09 Dt. 14.07.2008

WORKING HOURS AND LEAVE RULES

1.1 Working Hours

With immediate effect, working hours of the Terminal stand modified as follows:

General Shift	:	09.30 Hrs – 18.00 Hrs
Lunch Break	:	13.30 Hrs – 14.00 Hrs
1st Shift	:	0600 Hrs – 14.00 Hrs
2nd Shift	:	14.00 Hrs – 22.00 Hrs
3rd Shift	:	22.00 Hrs – 06.00 Hrs

1.2 Attendance

- Attendance policy is based on the belief that all employees are responsible and be punctual at work.

- All employees shall record their attendance by signing the attendance register or swiping the Employee card at the commencement time. Attendance is available at respective receptions in HO/RO and Security Room in case of Terminal.

- No employee shall be late for more than three days in a week upto a cumulative time of 45 minutes, beyond which pay for half a day will be deducted.

- Employees required to attend official work outside before reaching work premises are required to sign the register immediately on entering the premises.

- Employees likely to be late for personal or official reasons are required to seek prior permission of their superiors.

- Leave availed shall be marked as the case may be in the attendance register.

- In case an employee sponsored for company training program, the same shall be marked as 'TR' in the register.

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- In case an employee is on outstation duty, the same shall be marked as 'OD' in the register.

1.3 Leave Rules

- An Employee is entitled to three types of leave in a year viz. Casual Leave, Privilege Leave and Sick Leave.
- The Leave Year means a Calendar Year i.e. January – December and the same shall be considered for computation of leave.
- Date of commencement of probationary period will be considered for computing the leave entitlement.

Casual Leave

- All regular employees will be entitled to 7 days of casual leave per annum i.e. calendar year.

Privilege Leave

- All regular employees will be entitled to 22 days Privilege leave per annum i.e. calendar year.
- In case of employees joining during the calendar year annual leave shall be computed on proportionate basis only.
- An employee on probation can avail annual leave only on completion of six months of probation.

Sick Leave

- All regular employees will be entitled to 7 days of sick leave per annum i.e. calendar year.
- Sick Leave shall be granted on need basis only.
- An employee on probation is also eligible for Sick Leave on need basis.

General Conditions

- Leave can not be claimed as a matter of right and the discretion of grant or refusal of leave, lies solely with the sanctioning authority. Any leave taken without written approval will be treated as unauthorized absence.

- Sick Leave can not be clubbed with other leaves except in case of long sickness which has to be substantiated to the Management by way of medical certification, hospitalization etc.

- Privilege Leave may be accumulated up to maximum up to a total of 180 days in the whole service of an employee, with the exception that no annual limitation would apply for accumulation up to first 30 days.

- Privilege Leave beyond 180 days shall be deemed to have automatically lapsed unless leave was requested but not granted.

- Availing of Privilege leave should be well planned and approval from the Competent Authority should be obtained at least one month in advance. Privilege Leave of more than 5 days duration shall not exceed three times in a year.

- Encashment of Privilege leave will be allowed to the maximum extent of 15 days only in a calendar year. Basic Pay of an employee as on the date of application, would only be considered for encashment.

- The maximum Privilege Leave that will be credited in Employee account for carrying forward shall be 15 days per year. This implies that the employees shall avail minimum of 7 days Privilege leave per year.

- Intimation regarding sick leave should be given to the concerned Manager / HOD immediately on commencement of sick leave.

- Sick Leave may be accumulated up to maximum up to a total of 120 days in the whole service of an employee for utilization and sick leave is not encashable.

- If employee becomes disabled and temporarily unfit to work on account of injuries due to accidents arising out of and in the course of employment shall be allowed special disability leave with full salary / allowances / benefits, based on the discretion of the competent authority.

- In case of chronic diseases, sanctioning of sick leave with pay will be at the sole discretion of the management. Continuation of such employee in the employment will be regulated / dealt with, as per the prevailing and applicable legislation.

- Misuse of leave of any nature will attract severe disciplinary action.

- No employee shall leave the station of posting without obtaining prior permission from HOD.

Maternity Leave

A female employee who has worked in the company for a period of not less than 180 days in 12 months preceding the date of expected delivery, will be entitled to maternity leave with pay of 12 weeks which can be divided in to 6 weeks pre natal and 6 weeks post natal leave. Maternity Leave of employees who are covered under ESI Scheme will be regulated accordingly.

Leave with out Pay

Leave without pay is granted at the discretion of the Management in exceptional circumstances, when all admissible leave has been exhausted. During such leave, the employee will not be entitled to any pay or benefits but retain a lien on his/her employment. This leave is granted at the discretion of the Management. Application for Leave with out Pay shall be made at least 15 days in advance.

National & Festival Holidays

Every employee shall be entitled to a total of 10 days of paid holidays in a calendar year which include 3 National holidays i.e. 26th January, 15th August, and 2nd October, besides selected festival holidays (upto a maximum of 7 days) as prevalent in the trade / region in which the establishment is engaged / located and such days being declared as paid holidays by the management.

Recall from Leave

The company, in the best interest of work, may recall for duty, any employee who is on leave. If the employee is out of station, he/she will be deemed to be on duty for the return journey. The employee so recalled will be entitled to be treated 'On Tour' for the return journey. In the event of employee is allowed to resume his/her interrupted leave, he/she shall be reimbursed the travel expenses as applicable.

Leave Sanctioning Authority

The leave sanctioning authority for various categories of employee will be as under:

Category	Sanctioning Authority
All employees upto Dy.Mgrs	Concerned HOD in Terminal / Corp office
All Managers	General Manager in case of Terminal and Reporting officers in Corp Office
All GMs	Vice President or CEO as applicable
All VPs	CEO

In all cases, the recommending authority would be the immediate reporting officer of the employee.

Management reserves the right to amend / modify these leave rules at its discretion at any time, duly observing the applicable statutory provisions. In case of difference of opinion in interpreting these rules, the interpretation of the management will be final.

Leave rules as above will come into effect from 01.07.08 and the balance leaves except sick leave shall be worked out based on the leaves availed till date. For the employees who have availed sick leave more than the proportionate days during first half of the year, the balance of sick leave available for this calendar year shall be three & half days from 01.07.08.

The change in working hours of terminal shall be with effect from 21.07.08.

(K.Sharath Choudary)
CEO

Office Order No. 4/2008-09

Copy To : HODs

Copy To : GM(VT) : Pl circulate to all the employees

3.4 Other Employment / Service Rules

1 Applicability

These rules are called Service Rules for employees of East India Petroleum Private Ltd. And are applicable to all employees including trainees, consultants, visiting staff attached permanently or temporarily engaged by the Organization, other than the employees governed by the Model Standing Orders specified under The Industrial Employment (Standing Orders) Act, 1946. These service rules are an integral part of all employment contracts with the Organization.

All employees are required to familiarize themselves with the rules immediately upon appointment since their services will be governed and regulated by these rules in addition to statutory requirements besides other conditions which may be spelled out in individual appointment letters or contract of service or the settlements or the office orders.

2 Definitions

In these Rules unless otherwise is anything repugnant to the context, the following words would have the meaning as assigned hereunder:

1 Employer / Company means East India Petroleum Private Limited
2 Employee means a person employed by the employer
3 Management means any such executive or any other person as may be authorized by the organization from time to time
4 Wages / Salary for the purpose of these rules shall mean wages as defined in the Minimum Wages Act 1948.
5 “Attendance” means presence of the employee concerned, at the time specified at the place or places of duty where he is required to work by the management. If an employee is not present at his duty place or though present in such a place but refuses to carry out the work assigned to him which he is bound to do, then he shall not be treated as being present.

6 “Habitual” means an act or omission, which is repeated three times or more within a period of 12 months.

7 “Family” means the employee, his spouse and unmarried dependent children and parents living with and wholly dependent on him.

8 “Medical Certificate” means a certificate issued by a registered Medical Practitioner, provided that in case of doubt, the employer will have the right to get the employee concerned examined by a doctor appointed, nominated or approved by it.

9 “Singular” shall include the “plural” and vice versa.

10 “Absent” means absence without permission or approved leave.

11 “Company Premises” means all or any of the lands and buildings belonging to the Employer

12 “Notice” means either a notice in writing issued to an employee individually and also a notice posted on a notice board. Telugu version of the notice will be supplied if requested for.

13 “Notice Board” unless otherwise stated, means the Notice Board maintained in a conspicuous place at or near the main entrance of the Company Premises

14 “Masculine” shall include the “feminine” and vice versa.

3 Classification of Employees :

Employees shall be classified into any of the following categories :-

1 On Contract: Which means the tenure of employment for a specified period of time and the employee is entitled to only the benefits specified in the contract of appointment subject to the prior approval of the Management. Such contract employee shall not have any right to claim permanency or regularization of his employment in the organization of his employment in the organization after the expiry of the specified period. Unless terminated earlier by one month’s notice or pay in lieu thereof, such appointment will automatically come to an end at the expiry of the specified period and no notice or any compensation will be payable.

2 Regular: The regular employee is one who is employed on a regular basis, which includes a probationary employee who has satisfactorily completed probationary period to the entire satisfaction of the Management, and who has been confirmed by an order in writing. The employees will have to sign a letter of contract, the tenure of which maybe one year or more, as decided by the Management.

3 Probationer: Probationer is an employee who is provisionally employed for a regular post, declared as probationary by the management and has not completed one year on the post. The probationary period of one year may be extended further at the sole discretion of the employer or maybe dispensed with earlier either during the initial probation or the extended period of probation. After the original probationary period or subsequently extended probationary period as the case maybe, the Management shall issue an order to the employee in writing either extending the period of probation or terminating his service. Unless confirmed in writing, the employee will be deemed as a probationer after expiry of earlier initial or extended period of probation. Provided further, that if a regular employee is employed as a probationer on any other post, he maybe at any time be reverted back to his substantive / original post during or after the probationary period, and an order in writing to this effect will be given to the employee.

4 Temporary : A temporary employee will include :-

- i A person who is appointed for a limited period mentioned in the appointment letter; or
- ii A person who is appointed for work of an essentially temporary nature not intended to be carried on a regular basis: or
- iii A person employed in connection with the temporary increase in work of a regular nature ; or
- iv A person employed to work provisionally for a limited period in a post till regular arrangements for filling that post are made.

5 Casual: Casual means the employee who is employed to fulfill unexpected requirement due to unusual or seasonal pressure of work or for work which is of an occasional or casual nature. The employee's salary / wages are fixed on a daily or hourly basis and the employee is not entitled to leave or any other benefits of any kind as available to permanent employees.

6 Part time: A part time employee means an employee who is employed for work for less than the normal period of working hours. Part-time employees are not ordinarily entitled to the benefits provided to full time employees. They shall be entitled to such benefits as are determined by the management.

4 Employment

1 The candidates selected for appointment, promotion and regularization of appointment shall be issued an order in writing specifying the terms, as the case maybe, and signed by the Management.
2 All appointments in the regular post shall be on probation for a period of one-year unless or otherwise specified. This period maybe extended further at the discretion of the Management. On satisfactory completion of the period of probation, the Management may confirm the employee. However, no employee is entitled to be regularized or treated as regular employee by reason of his having completed either initial or extended probationary period until regularization order is given in writing by the Management.
3 During the probation period either party may terminate the contract at any point of time. No notice is due by either party. The employer is obliged to pay only for the days actually worked to be calculated according to the agreed salary.

5 Salary, Increment and Revision in Grade or Salary Scale

1 Salary reviews are done, and if indicated, increments will be awarded as per the system prevailing in the organization or that may prevail in the organization after commencement of these rules.
2 Irrespective of the fact whether any scales of pay and increments have been prescribed or not, the employer, on account of recession or other sufficient reason, reserve the rights to suspend, or postpone the increment to which an employee may be entitled in accordance with the grade in respective of individual cases / categories of employee. However if the employee concerned is not agreeable to such action he will have the option to retire after the lapse of notice period as provided in these rules.

6 Transfer:

Every employee is liable to be transferred from one post to the another, one job to another, from one department to another without however affecting the total amount of wages / salary payable to the employee, exclusive of incentive etc. The employee is also to be transferred at any time to another organization, establishment, branch office, sister organization, or subsidiary establishment owned or controlled by the management whether in existence at person or to be started or taken over or acquired at a later date, at any place in India or abroad. Upon such transfer, the rules, regulations, terms and conditions of services will govern the employee, etc. that maybe applicable to the place of transfer, provided that the wages, grade, continuity of service and other conditions shall not be adversely affected by such transfer, provided further that that the employee be transferred from one job to the another which is capable of doing, provided also that whether the transfer involves moving from one state to another, such transfer shall take place provided there is specific provision to that effect in the letter of appointment for which reasonable notice be given to the employee and reasonable joining time is allowed in case of transfers from one station to the another. The employee shall be paid travelling allowance, transport charges to meet the incidental charges.

7 Record of Age / Identity

Every employee will be required to declare his/her age and produce a copy of birth certificate or school leaving certificate or Matriculation certificate in support. Once the date of birth is recorded, it will not be permitted be altered or changed. In case of doubt, the appointing authority shall establish the age of the employee, which shall be final and conclusive for the all-purpose concerning his employment including retirement.

8 Change of Address

All employees shall notify the HR & A Dept. or the appropriate department immediately if any change in their local / permanent address takes place, but not later than 3 days of such change. A communication forwarded by the management to the recorded address shall be regarded as sufficient compliance of the purpose for which the communication is addressed.

9 Leave Entitlement

Leave Rules which are in vogue or that come in to force will apply

10 Abandonment of Service

1 In the event of an employee remaining absent in excess of the period of leave originally granted or subsequently extended he shall loose his/ her lien on his/ her appointment unless
   A he/she returns within eight days of the expiry of the leave and
   B gives satisfactory explanation to the management, of his / her inability to return immediately after expiry of the leave has been sanctioned.
2 An employee remaining absent without leave for a period exceeding 8 days (including holidays or weekly off etc.) at a stretch shall be deemed to have abandoned the service. Incase an employee abandons his/her service or is deemed to have abandoned his/her services, it shall be treated as resignation from the service of the company. If however, the said employee returns within 15 days form 1st day of absence with out leave and gives an acceptable explanation for his/her absence to the Management the absence of the said employee maybe excused and he maybe re-employed in his/her post without continuity of service, entirely at the discretion of the Management and the employee shall have no right to any claim or challenge the discretion of the Management in this regard.

11 Termination of Employment

A Except as provided specifically in the contract of service, the employer may terminate the services of an employee after giving notice as prescribed in the respective appointment order, in writing or on payment of wages in lieu thereof. The Management reserves the right in requiring employee to work and not relieving him during the notice period. Incase of services of temporaries/ casuals, no notice is required if the service is terminated before the expiry of the period, subject to the provision of statutes. The employer may terminate the services of an employee who is on probation without notice or salary in lieu thereof.

B The employment of a regular employee shall be liable for termination on the following amongst other grounds :-

I Insanity, senility, physical infirmity, contagious or infectious disease, continued ill health, unfitness for employment with the employer as declared by the Employer's doctor or for loss of confidence.

II Conviction in a criminal case.

III Engaging in any vocation without the written permission of the Management or found to have been working elsewhere during the period of leave, incase the employee is on full time contract with the Management.

IV Loss of confidence by the Employer in an employee due to leakage of information or propaganda against the Management.

V Insolvency

C An order relating to discharge or termination of service shall be in writing and shall be signed by the Employer/ Management and copy thereof shall be supplied to the employee concerned. In cases of general retrenchment on closing down of office, no such order will be given to individual employees.

D If an employee intends to leave the service, he shall give notice of his intention as prescribed in respective appointment order, to do so in writing to the Employer or may if he wants to be relieved earlier, surrender in lieu thereof wages equivalent to the days for which the notice falls short of such notice period time, at the discretion of the Management. But if the exigencies of the work so require, the Employer may refuse to relieve him earlier than the entire period of notice. The employer also reserves the right to accept the resignation with immediate effect subject to payment in lieu thereof.

E No notice or wages in lieu of notice shall be necessary, if the services of an employee are dispensed with for misconduct.

12 Employee to give account of the employer's property

1 On termination / resignation of his service, an employee shall give a proper account of all identity cards, reports and records, papers, books, tools, instruments and other property of the Employer in his possession, custody or charge before the last payment of outstanding wages. The value of all shortages and/ or damages to the Employer's tools, instruments, and other property in the employees possession, study or charge shall be recoverable from him and without prejudice to another mode of recovery, maybe recovered by adjustment against whatever dues are payable to him.

2 Employee will be required to compensate the Employer for all losses/ damages caused by him to the Employer's official premises and all movable property therein.

3 Failure to comply with all or any of the above provision's shall entitle the Employer to withhold the employee's dues to make appropriate deductions there from and to take such other action as maybe deemed fit, which also includes the initiation of legal Proceedings in the court of Law

13 Acts of Misconduct

Without prejudice to the general meaning of the terms of misconduct, the following acts and/or omissions, which are illustrative and not exhaustive, shall be treated as serious misconduct:

1 Going on or participating in an illegal strike or abetting in the same.

2 Willful slowing down in performance of work or abetment or instigation thereof or fasting with an explicit view to influencing the employer's decisions.

3 Theft, fraud, breach of trust, or dishonesty by misappropriation of funds in connection with or damage to the Employer's business or property of another employee/officer within the work premises.

4 Non-observance of safety measures or failure to use safety appliances like helmets, seat belts etc. or interference with safety devices or fire fighting equipment or disobedience of a safety instruction by the superior.

5 Carrying employer's goods, files or office documents to the house/home or any other place outside the work premises without the prior permission in writing of the employer.

6 Unauthorized use of any of the Employer's facility/ equipment or any other thing for personal use.

7 Leaking any information relating to official matters to outsiders, as they are confidential.

8 Giving false information regarding one's name, father's name/ husbands name, date of birth, qualifications, details of previous salary/ service particulars, address etc., at the time of securing employment or thereafter.

9 Habitual late attendance and/or absence without leave and/or late attendance on more than three occasions within a month or similar omissions of leaving the premises before time.

10 Assaulting, abusing or intimidating any employee of the employer either within the premises or at any other place.

11 Demanding, taking or giving bribes/gifts or any illegal gratification or indulging in any corrupt practice and/or lending or borrowing money to and from subordinate employees.

12 Carrying on directly or indirectly or benami transactions in the office premises:
   1 Money lending business and/or
   2 Other private business without the written permission of the Management or having private financial dealings with persons or firms, etc., having business relations with the Employer for sale and purchase of any materials, equipment's or supply of labor, if any, or for any other purpose.

13 Writing of anonymous or pseudonymous letters criticizing the Employer or any other member of the office staff and making false reports regarding the misconduct of colleagues and superiors or defamatory remarks against the Employer/ Management.

14 Holding meetings within the work premises or any other premises owned by the Employer without the previous written permission of the Management.

15 Habitual neglect of work or negligence in work.

16 Refusal to work on a job or a mission, which does not call for any additional skill or experience, can be done by the employee/ officer without aversely affecting his service conditions.

17 Hiding away or attempt to hide away any articles, documents or materials of the Employer.

18 Obtaining or attempting to obtain leave of absence on false pretense

19 Attempting to obtain any benefit under false pretext or by making false statements.

20 Refusal to act in any position offered by the Management.

21 Failure to report immediately to the next superior of any defect in machinery/ equipment or damage to property or any dangerous condition of injury to persons caused accidentally or otherwise in the course of performance or work by an employee/officer or by the employee/officer concerned.

22 Willful disfigurement, destruction or alteration or forgery of any record/file of the Employer.

23 Bringing or possessing or using alcoholic drinks, charas, bhang, ganja, within the Employer's premises or reporting for work while under the influence of alcoholic drinks, drugs or narcotics.

24 Refusal to accept a charge sheet, an order or any other communication from the Management either in person by post or through courier.
25 Entering or remaining in the work premises after the permissible/authorized hours of duty with out valid reasons.
26 Assumption of authority in matters, which are the prerogative of the Employer.
27 Publication of any article relating to the work of the Employer without obtaining prior written permission of the Employer.
28 Refusal to act on the accepted terms and conditions of service.
29 Handling or attempting to handle any machine, equipment, apparatus or vehicle not entrusted to the charge of the employee.
30 Falsifying or refusing to give testimony when an accident, misconduct or other matters are being investigated.
31 Interfering in the work of other employees and/or the Management.
32 Habitual breach or gross and/or deliberate violation of the service rules and internal regulations.
33 Doing private or personal work within the work premises without the previous permission of the Management.
34 Refusal to work on holidays or on off days when required to do so, refusal to work overtime, in the exigencies of Employer's business or work notwithstanding any statutory provisions.
35 Approaching higher authorities for personal favors or promotions or gains directly or through other people.
36 Abuse of authority, threats, and use of harassment or pressure to obtain illicit favors.
37 Refusing to undergo training as and when required by the Management.
38 Photo or otherwise copying and taking the extracts of official documents with the view to keeping/storing them at home or to maintain files at will be considered breach of trust.
39 It is considered breach of trust if one of employee comes to know about the breach of trust done by another staff member, and if this matter is not disclosed immediately to the Management.
40 Any act which is prejudicial or detrimental to the interests of organization o the Management of the organization.
41 Breach of confidentiality or a loss of confidence by any act against the interests of Management or organization.

42 Deliberate disturbance to the proper functioning of the company.
43 Making statements (in any manner whatsoever) to the press or other media without the prior permission of the Management.
44 Fulfilling a task by other person than the one to whom it has been assigned. Incase of absence the employee has no right to bring another person to replace him, except with the prior consent/permission of Management representative.
45 Nobody can alter the contents of his job description without prior authorization.
46 Any other act of commission or omission, which is against the interest of the Employer or subversive of discipline.
47 Any other act which constitutes an offence under any other law/act in force.
48 Striking work or adopting go-slow methods, either singly or along with others in contravention of these service rules or any statute, law, agreement, memorandum of settlement agreed from time to time and for the time being in force.
49 Inciting whilst on the premises of the Employer any employee or employees to strike work or adopt go-slow methods.
50 Collection or conversing or the collection of any money, whatsoever, for purpose not authorized in writing by the Employer within the premises of the Employer.
51 Drunkenness, fighting, riotous, indecent or disorderly behavior or conduct likely to cause breach of peace or conduct endangering the life or safety of any other person.
52 Any act subversive of discipline and efficiency, and any act involving moral turpitude committed within the premises of the Employer, and outside if the same has bearing on the services of the employee.
53 In-discipline or breach of any rules or instructions for the maintenance and or instructions for the running of any department or maintaining its cleanliness.
54 Distributing or exhibiting inside the premises of the employer any newspaper, and bills, pamphlets or poster(s) without the previous written sanction of the Management.
55 Refusal to give evidence in any enquiry against any other employee charged with any misconduct.
56 Organising, attending or holding meetings within the boundaries of the premises or in any of the premises owned by the Employer or in front of the residential premises of the officers of the Employer without previous written sanction of the Management.

57 Threatening or intimidating any employee within the premises of the Employer or outside concerning matters relating to the employer
58 Gambling or playing cards, etc., within the premises of the Employer.
59 Knitting, gossiping within the premises of the Employer.
60 The sale or canvassing for the sale of tickets of chances in any lotteries or raffles within the premises of the Employer.
61 The sale or canvassing for the sale of any commodity within the premises of the Employer.
62 The sale or canvassing for the sale of tickets, coupons or other tokens in connection with any scheme for the sale of any commodity or an articles within the premises of the Employer without previous written sanction of the employee.
63 Sleeping or dozing whilst on duty
64 Resorting to picketing, hunger strike against any officer whether within the premises of the Employer or outside in relating to in the matters concerning to the Employer.
65 Absence from place of work without the permission of the departmental head.
66 Acceptance of gift from any person connected with business of the Employer.
67 Habitual indebtedness.
68 Theft of property belonging to other employees inside the premises of the Employer.
69 Misbehavior during the pendency of disciplinary action instituted against him.
70 Interference, tampering with the records, attendance register/swipe system etc., either pertaining to himself / herself or to any other employee.
71 Unauthorized removal or defacement of notices of the Employer at the notice board.
72 Willful non-cooperation with fellow employee for proper discharge of duty at any time.
73 Giving interview to press, radio television without the permission of the Management.
74 Participation in public discussions debates and deliver speech in public pertaining to the affairs or the business of the establishment without the permission from the competent authority of the Employer.
75 Reading magazines, novels and other non-professional literature/material during working hours.
76 Loitering, idling or wasting time during the working hours
77 Expectorating or otherwise committing nuisance on the premises of the Employer.

78 Not wearing the complete uniform provided by the Management, if any, during working hours or wearing the uniform improperly while on duty.

79 Any attempt or threat to assault or beating or murder of an employees/officer/manager of the Employer or any other person/persons who has/had any connection with the organization within or outside the premises of the Employer.

80 Not disclosing/intimating to the Employer any infectious or sexual/skin/any other disease/contagious disease from which the employee is suffering.

81 Habitual production of the Medical certificate for availing leaves.

82 Having immoral relationship with employee of either sex within the premises of the Employer.

83 Eve teasing in the premises of the Employer or transport provided by the Employer, if any.

14 Punishment for misconduct

If the Employer is convinced that an employee is guilty of committing any misconduct/s, the following punishments may be imposed upon him/ her :-

A Suspension without pay for a period not exceeding one month.

B Demotion

C Reduction in Wage / Salary

D Stoppage of increments

E Discharge

F Dismissal

15 Procedure for disciplinary action

The warning should be written and signed by both the employer / management and the employee, a copy of it will go to the employee's file.

A Where disciplinary proceedings against an employee are proposed to be contemplated by the Employer or are pending or where criminal proceedings against the employees in respect of any offence are under investigation or trial and the Employer is satisfied that it is necessary or desirable to place the employee under suspension, it may, by an order in writing, suspend him with effect from such date as may be specified in the order. An employee placed under such suspension will be paid 50% of his wages/salary provided he will give a declaration by the end of the month that he remained unemployed during such period. The Management can ask the suspended employee to come for marking his attendance at any time during the working hours. The suspension allowance during the pendency of enquiry can be reduced or revoked if the employee either fails to participate in the enquiry or does not co-operate in the continuation of the enquiry.

B An order of punishment including dismissal against an employee will be made only after the employee concerned is informed in writing by a charge-sheet of the alleged misconduct and is given an opportunity to give his explanations regarding the alleged misconduct except when the misconduct is admitted in writing by the delinquent employee.

C During a domestic enquiry, the delinquent employee may be allowed to have the assistance of a co-employee working in the establishment, if he so desires in writing. However, no outsider will be allowed to assist the delinquent employee/officer in the domestic enquiry. The delinquent employee will be given the complaints /documents. Both parties should give their list of witnesses.

D The charge-sheeted employee will be issued with a charge sheet clearly informing him of misconduct alleged against him. An explanation will be called for in writing against the charges of misconduct leveled against him. In the enquiry, the witnesses in support of the charges of misconduct will be examined by the presenting officer/the Management representative in the first instance. The employee concerned will be given a fair opportunity to cross-examine each of the witnesses on completion of their evidence. The charge-sheeted employee should be allowed to examine his witnesses, including himself. The presenting officer/Management representative may cross-examine the delinquent employee and each of his witnesses.

E Both the charge-sheeted employee and the Management representative may submit their arguments either orally or in writing before a definite date, on completion of the evidence on both sides. The enquiry officer, on the basis of the documents and evidence on records, should submit a report recording his findings and reasons thereof to the Management.

F The Management on receiving the report and findings of the enquiry officer, will ask for the employees representation, if any, against the proceedings and findings of the enquiry officer. Unless demanded by the employee, it will not be obligatory on the part of the Management to furnish the enquiry report to the employee.

G After receiving the representation, if any, of the delinquent employee with regard tot he domestic enquiry, the Management on the basis of the entire proceedings, documents, evidence and report of the enquiry officer and also taking into consideration the representation, will appreciate the entire evidence on record and come to its own conclusions as to whether the charges of misconduct alleged against the delinquent employee have been established.

H An employee who is placed under suspension shall during the period of such suspension be paid subsistence allowance at the rate of 50% of the wages which the employee was entitled to immediately preceding the date of such suspension during the pendency of domestic enquiry, or, if an enquiry is being conducted by an outside agency or where some criminal proceedings are pending against him.

I The employee under suspension pending enquiry shall report at the employer's office/premises at the time specified in the letter of suspension to be entitled to subsistence allowance, and if he does not do so, he shall not be entitled to subsistence allowance for the days he does not report at the Employer's office. The employee under suspension cannot go out of town without the prior written permission of the Employer/ Management. He also cannot enter the Employer's premises without his written consent.

J If on the conclusion of the enquiry or of the criminal proceedings, the employee has been found guilty of any of the charges framed against him and it is considered that an order of dismissal or discharge or suspension or fine or stoppage of annual increment or reduction in rank or any alternate measure would meet the ends of justice, the Employer shall pass an order accordingly.

K If on the conclusion of the enquiry or for the criminal proceedings the employee has been found to be not guilty of any of the charges framed against him, he shall be entitled to the same wages/salary as he would have received if he had not been placed under suspension after deducting the subsistence allowance paid to him for such period.

L The payment of subsistence allowance under this rule shall be subject to the employee concerned not taking up any employment during the period of suspension, and for which the management will be at liberty to take disciplinary action.

M In awarding punishment under these rules, the Management shall take into consideration the gravity of misconduct, the previous record, if any, of the employee and any order extenuating or aggravating circumstances that may exist.

N Where an employee has been convicted for a criminal offence involving moral turpitude in a court of Law, the employee can be removed or dismissed for service without following the procedure afore-mentioned.

O A copy of the orders passed by the Management shall be supplied to the employee concerned.

16 Service notice from the Employer and communication procedure thereof

I Any order , notice ,charge-sheet or letter issued by the Employer shall be served on the employee in the following manner :-

A By delivering it to the employee by hand. If the employee does not accept such notice, charge sheet or letter, than one witness must duly attest the fact of refusal, and file the same in the respective individuals personal file.

B By sending it by registered post at the last address of the employee as per the records of the Employer. If refused, it will be deemed to have been served upon the employee.

II Any notice or communication or intimation to be given to the employee by the employer shall be served personally or by post at the last address available in records of the Employer. If an employee refuses to receive such notice or communication or intimation, or if such notice, communication or intimation sent to the employee concerned by post is returned unserved for any reason, the same may be filed in the respective individuals file maintained by the Employer, in which case it shall be deemed to have been served on the employee/officer concerned.

17 Complaint and grievance procedure

I All grievances/complaints about wages, payments, leave, transfer, promotion, demotion, seniority, work assignment and reasonable orders, working conditions and interpretation of service agreement, etc., shall be made by the employee directly to the employer.

II All such complaints / grievance will be settled/ responded to as soon as possible, but in any case not later than 20 days from the date of grievance is reported.

III If a grievance arises out of an order by an employee, the said order shall be compiled with before the employee concerned invokes the procedure laid down for redressal of grievance. If, however there is time lag between the issue of order and its compliance, the grievance procedure may immediately be invoked, but the order nevertheless must be compiled within the due date.

IV If its necessary for any employee to leave the office during the working hours on call from the line manager, necessary permission of his superior shall be obtained.

V If, however, there is any complaint against any individual member of the staff who is at the same level as the employee designated to handle the grievance, the employee may take up his grievance with the staff member at the next higher level.

VI Incase of any grievance arising out of charge sheet, suspension order, discharge or dismissal of an employee, the above mentioned procedure shall not apply. Instead, the discharged or dismissed employee shall have the right to appeal to the Management requesting for review or revisions of the order within a week from the date of dismissal or discharge.

18 Resignation

Any employee who wishes to resign from the service of the Employer shall give the Employer notice for the period as mentioned/specified in the letter of contract, and shall duly serve the Employer during the said period. The Employer may at sole discretion, accept the employee's resignation with immediate effect and waive the notice period and may give notice pay in lieu of the same.

19 Secrecy

No employee shall take any papers, books, drawings, files, photographs, instruments, apparatus, documents or any other property of the office out of the work premises except with the written permission of the Management, nor shall he/she in any way pass or caused to be passed, disclose or cause to be disclosed any information or matter concerning the work nor any other confidential documents of the office to any unauthorized person or outsider or to an employee under suspension without the written permission of the Management.

20 Exclusive Service

An employee shall not have time, work against the interest of the office at which he is employed and shall not take any employment or assignment or business in addition to his job in the establishment, in case the employee is on full time contract.

21 Miscellaneous

I All employees/officers shall be bound to observe all safety rules notified from time to time and to use safety equipment as and when necessary. Breach of this order shall make him/them liable for misconduct in as much as they shall be liable to punishment as per these rules.

II Non-enforcement of a rule shall not prejudice the right of the Employer to enforce the same at any later date.

III All maters not specifically covered by these rules and regulations shall be dealt with in accordance with the relevant provisions of the law and/or usage governing such matters.

IV The Employer reserves the right to amend or alter these rules and regulations at any time and in any manner it deems fit.

V Interpretation of the forgoing rules and regulations as given by the Employer shall be final and shall be binding on all persons interested therein

22 General Conditions

I The Employer is obliged to provide each employee with a copy of these rules

II These employee is obliged to inform the employer of all gifts, presents etc, which he/she receives as a result of his/her activities on behalf of the employer

23 Fitness of Work

The Management reserves the right to test any employee by sending him /her to the Medical Officer for his /her fitness to hold a post at any time with or without notice. However, no decision to discharge, transfer or demote him/her will be taken on the recommendation of Medical Officer alone. For that purpose, the employee will be subjected to further medical examination before an independent medial board whose decision will be considered in such case. The expenditure on this medical examination will be borne by the employer. If any employee is found unfit medically or mentally, it will be open to the Management to send the employee on leave for medial treatment at his/her own cost

24 Retirement

An employee will retire on attaining the age of 58 years. However,, on account of physical or mental infirmity, inefficiency or incapability to work or discharge his/her duties, retirement may take place even before attaining the age of 58 years, subject to adherence to all applicable legal provisions. Management decision in this regard is final and binding.

25 Conclusion

I Modification – The Employer has the right to change and to update the present regulations at any stage and to give notice to the employees in writing

II Enforcement of Law – The applicable labour legislation controls the relationship between the employer and employees

4. PAY SCALES :: REMUNERATION, BENEFITS & PERQUISITES

4.1 Pay Scales

There are 15 pay scales classified as E1/C1 to V3, as follows:

Grade	Position	Basic Pay Scale
E1 / C1	Technician / Assistant	2000 – 400 - 8000
E2 / C2	Sr. Technician/ Sr. Assistant	2500–500–10000
E3 / C3	Engineer / Officer	3000-750-14250
E4 / C4	Sr.Engineer/Sr.Officer	3500-1000-18500
E5 / C5	Asst. Manager	4000-1250-22750
M1	Dy. Manager	5000 – 1500 – 27500
M2	Manager	7500 – 1750 – 33750
M3	Senior Manager	9000 – 2000 – 39000
G1	Asst. General Manager	11000 – 2250 – 44750
G2	Dy. General Manager	13000 – 2500 – 50500
G3	General Manager	15000 – 2750 – 56250
G4	Sr. General Manager	18000 – 3000 – 63000
V1	Associate Vice President	22000 – 3500 – 74500
V2	Vice President	25000 – 4000 – 85000
V3	Senior Vice President	30000 – 5000 - 105000

No Dearness Allowance either fixed or variable is payable separately since the remuneration package of an employee consists various forms i.e. paid under various heads. In case payment of DA, either fixed or variable, becomes mandatory, the same shall be adjusted in the gross remuneration package of employee at the discretion of the Management.

4.2 Allowances

4.2.1 House Rent Allowance

Employee who do not occupy Company's accommodation shall be entitled to House Rent Allowance at the rate of 50% of basic pay if the place of posting is any of the Metro Cities Viz. Delhi / Kolkatta / Mumbai / Chennai. In all other cases, the HRA shall be paid at the rate of 40% of the basic pay.

All employees who come under the purview of 'Income Tax ' shall have to produce original HRA receipts to F&A Dept. for claiming exemption.

4.2.2 Professional Pursuits / Education Allowance

In order to make all the employees get familiarize with the latest developments and changes in their respective fields and also encourage employees to acquire additional professional qualifications, this allowance is paid on monthly basis as per the following limits. Employees shall produce relevant receipts for claiming tax exemption in case they wish to do so. Otherwise the entire amount paid under this category shall be treated as Taxable income unless the Income Tax Rules, which are in vogue, so exempt.

Grade	Entitlement
E1 & C1	Rs.200/-
E2/C2 to M2	Rs.500/-
M3 to V3	Rs.1000/-

4.2.3 Leave Travel Allowance

All regular employees shall be eligible for Leave Travel Allowance (LTA) once in a year equivalent to their one-month basic salary (as on date of claiming).

All eligible employees are entitled to LTA at the end of every completed year of service, subject to the following conditions:

- The LTA covers the employee, his/her spouse, dependant unmarried children and solely dependant parents

- The employee must be on approved annual leave for a minimum period of 5 days

- Eligible employees shall be paid maximum of 90% of the eligible amount as advance to enable them to make arrangements for their travel, on receipt of request in writing after the leave is approved.

Following norms would govern the payment/reimbursement of LTA:

- LTA would be given for every completed year of service. The Year for the purpose of LTA would be the financial year starting 1st April and ending following 31st March. For

example: if an employee works for the year 2002-03, he would get LTA for the year 2002-03 in April 2003 or thereafter only.

- Completed Year means that an employee works for a minimum of 230 days in a year (excluding weekly off, company declared holidays and authorized leaves)

- In case an employee does not complete 230 days in a year he would not be entitled to LTA. However if because of sickness of self or death of an immediate family member the person could not complete 230 days then only with the specific written permission of the CEO would be sanctioned LTA

- In case an employee leave the organization he/she would be entitled to prorata LTA payable in his/her final settlement provided he/she has worked for minimum of 30 days. Prorating will be done on half-month basis. For this purpose service up to 15 days in a month will be treated as half-month and service beyond will be treated as a full month.

- In case of new recruits, the LTA would be paid on proportionate basis for the period worked in the preceeding financial year, subject minimum service of one month. Thereafter, the LTA payment would be on financial year basis. For example, if an employee joins on 1st December 2002, he would be paid LTA on proportionate basis for a period of 4 months i.e. December 2002 - March 2003 provided he has put in minimum of 30 days service. Thereafter, his/her LTA payment would be on financial year basis only. In the event new of recruits claiming LTA for the first time on proportionate basis, minimum annual leave of 5 days will not apply but the amount paid would be treated as taxable.

- In case an employee superannuates from the services of the company on attaining the age of 58 years, the full years' LTA would be paid as a measure of goodwill from the organization.

- The employee would have to submit a copy of the approved annual leave application form along with his/her journey tickets or receipts as proof of having traveled for the purpose of income tax. All tax liabilities arising out of disbursement of LTA would be to the account of the employee.

4.2.4 Uniform / Liveries Allowance

Uniform / Liveries will enable employees to project a good image. To this end, the company reimburses expenses incurred by the employee for his/her own use on purchase of following items based on the company's directions from time to time:

- Trousers, Ties, Jacket, Shirts & Footwear for Men
- Sarees, Skirt-Blouses, Salwar-Kameez & Footwear for Ladies

This Allowance is paid on yearly basis as per the following limits. Employees shall produce relevant receipts for claiming tax exemption in case they wish to do so. Otherwise the entire amount paid under this category shall be treated as Taxable income unless the Income Tax Rules, which are in vogue, so exempt.

Grade	Entitlement Per Annum
E1 & C1	Rs.3000/-
E2/C2 to E4/C4	Rs.5000/-
E5/C5 to V3	Rs.10000/-

Procedure:

Claims would be made on annual basis in the months of April /May for the particular financial year.

Employees who are on the regular rolls of the company as on 1st April of the year are eligible for claiming the allowance. In case of new recruit, payment would be made on prorata basis in the following manner:

If the employee joins in between April – September, the total eligible amount will be paid in full. If employee joins in between October – March, 50% the eligible amount will be paid. In the similar way, if employee separates from the organization in between April – September, 50% of the eligible amount would be recovered had the employee already availed the claim. If employee separates in between October – March, no recovery will be made. In case of death, no recovery will be made irrespective of the period worked during the financial year.

Claim shall be made in the prescribed format.

4.2.5 Executive Allowance

Employees at Grade G2 and above are entitled to Executive Allowance at the rate of Rs.2000/- per month. This allowance is paid to employees through Payroll on monthly basis.

4.2.6 Refreshments Allowance

All Employees posted at Terminal and Head Office of the company are entitled to Refreshments Allowance at the rate of Rs.200/- per month which will be paid on monthly basis through Pay Roll. This allowance is paid for meeting the coffee/tea expenditure during work hours.

4.2.7 Sodexho Meal Coupons

Employees who are in the grade of M2 and above will be provided with Sodexho Meal Vouchers (coupons) to have lunch/snacks etc., in the office/outside during the course of job. Coupons worth of Rs.2250/- will be provided per month. Coupons would be provided through Pay Roll every month.

4.3 Reimbursements

4.3.1 Conveyance Expenses

Reimbursement of conveyance expenses of official nature (including commutation from house to work place and back and also maintenance/repairs charges) will be made as per the following limits:

Grade	Entitlement
E1 & C1	Rs.800/- p.m.
E2 & C2	Rs.1000/- p.m.
E3/C3 & E4/C4	Rs.1500/- p.m.
E5/C5 to M2	Rs.2000/- p.m.
M3	Rs.3500/- p.m.
G1 & G2	Rs.60000/- p.a.
G3 & above	Rs.90000/- p.a.

All claims will have to be made in prescribed claim form duly supported with bills/receipts on monthly basis.

In case of employees who are in the grade of E1/C1 to M3, the reimbursement will be regulated on monthly basis. In case of G1 and above, the reimbursement will be regulated on annual basis. However, the claims may be made on monthly basis.

In case of separation of employee during the month/year as the case may be, reimbursement so made till the day of separation will be regulated on proportionate basis since the reimbursement is inclusive of commutation between residence and work place also. Concerned HoD's recommendation may be considered in this regard. Tax liabilities, if any, will have to be borne by the employees.

4.3.2 Washing Expenses

The company will reimburse to all the employees Rs.500/- per month towards washing their uniform clothing / liveries

This reimbursement is made through Pay Roll on monthly basis. Tax liabilities, if any, will have to be borne by the employees.

4.3.3 Medical Expenses

All regular employees are eligible for reimbursement of medical expenses as under:

Entitlement will be one month basic per annum for all employees, which includes mandatory coverage under individual mediclaim policy to be obtained for a minimum sum insured of Rs.25000/- per annum per employee. In case employee wishes for higher rate of sum insured than Rs.25000/-, the same may be done. Similarly, if employee wishes to cover his/her family members under his/her mediclaim policy, coverage may be taken up, the premium of which will be deducted, as in the case of employee, from the entitled amount of one month basic per annum.

The balance amount of entitled amount will be reimbursed to the employee on submission of bills & receipts for all medical expenses, except for cosmetic related medical expenses.

Claims should be submitted within 3 months from the date of bill / receipt.

Claims not submitted within the prescribed time limit will be treated as time barred and will not be considered for reimbursement. However, HR&A Dept. may consider 'exception' on the basis of genuine reasons for late submission.

All claims should be made in the prescribed format

For all purposes, the family means: Spouse who is not employed in EIPL, unmarried dependant children, dependant parents.

The entitled amount can be accumulated up to 3 years (financial year). Amount that is left over as on the last day of 3rd financial year automatically gets nullified.

Employees who join in the middle of the financial year would be eligible for this facility on prorata basis. In case of separation of employee in the middle of the financial year, the eligibility is decided on prorata basis only.

Employees posted at Terminal may be advised to undergo 'Annual Medical Examination' as required under relevant legislation and as per the requirement felt from time to time, at the cost of the company at its discretion. Tax liabilities will be to the account of employees.

4.3.4 Entertainment Expenses

Employees who are in the grade of G3 & above are entitled for reimbursement under this head for a sum not exceeding Rs.6000/- per annum on submission of bills & receipts. In case of company directed entertainment expenses, the same may be claimed separately by the respective employees. Claims will have to be made in the format prescribed.

4.4 Benefits

4.4.1 Children Scholarship

Employees are entitled for children scholarships as per the following limits provided that the children obtain minimum 50% of marks in their previous class:

a. Studying in Classes 2nd to 7th – Rs.3000/- per annum
b. Studying in Classes 8th to 10th – Rs.3600/- per annum
c. Studying in Classes 11th & 12th – Rs.4200/- per annum
d. Studying in Classes Gradation/P.G.– Rs.4800/- per annum
e. Studying Professional Courses such as B.Tech./M.Tech./M.B.B.S./M.B.A. etc. – Rs.6000/- per annum

   HR&A Dept.'s decision is final in deciding whether a course is professional or not.

In case of courses like Chartered Accountancy, Company Secretarial and Cost Accountancy, eligibility for scholarship will be as follows:

On completion of Group 1 in Intermediate	-	Rs.6000/-
On completion of Group 2 in Intermediate	-	Rs.6000/-
On completion of Group 1 in Final	-	Rs.6000/-

On completion of Group 2 in Final - Rs.6000/-

No scholarship will be admissible in case of foundation courses.

Employees would be eligible for scholarship facility when their children attempt their examinations and pass the examinations during employees' tenure with the company i.e. if employee children attempts examination earlier than the employee takes up employment with the company and results are announced after employee joins the company, the employee will not be eligible for claiming this facility. In case of separation of employee on whatsoever account at any time, the employee would not be eligible for claiming this facility.

The facility is restricted to a maximum of 2 children of employee. Claims will have to be made in the prescribed format.

4.4.2 Residential Telephone / Mobile Telephone

Based on functional requirement, employees will be provided with residential or mobile telephones for which the employee may claim a sum not exceeding Rs.500/- per month (inclusive of rent/call charges etc.). Claim will have to be made in the prescribed format along with bill/receipt. In case of separation, it is the responsibility of employee to clear off all dues pertaining to the telephone provided (either landline or mobile) and hand over the instrument(s) to the company in good condition, if the instrument/equipment belongs to the company. In case of company provided telephones, the company will pay initial installation/activation charges and security charges.

In case the monthly bill amount exceeds the entitled amount on account of official calls, the employee may claim the additional amount by justifying the reasons therefor on call to call basis. The Vice President or the CEO may approve the same at their discretion. However, employee will not have any right in this regard.

4.4.3 Credit Card

Employees who are in the grade of MM2 and above would be considered for the following:

Reimbursement of Entrance Fee paid for 1 No. Credit Card, not exceeding Rs.1000/-

Reimbursement of Annual Fee paid for 1 No. Credit Card (for which the entrance fee paid), not exceeding Rs.1000/-

The facility will be extended to employees, based on their functional requirement and employees will not have any right for the same.

4.4.4 HBA Interest Subsidy

This facility is evolved with the objective of encouraging employees to build their own house. Company grants interest subsidy to the eligible employees who obtain loans from recognized financial institutions such as HDFC/LIC Housing Finance Limited etc. for construction of flat/house.

The rules and regulations as set hereunder are framed and laid down entirely as a welfare measure and do not confer any claim, right or benefit to any employee, nor impose any liability, responsibility or obligation on company and shall not be deemed to be a condition of service between the company and such employee.

The company is not obliged to provide the subsidy to all the employees constructing the houses/flats or availing such facility from any source. The company is entitled to determine the expenditure on this account or entertain such applications depending upon its financial position/allocation of funds and 1administrative exigencies from year to year or from time to time.

The company reserves itself the right to totally suspend or abrogate the facility or add, or alter or in other manner modify the rules and regulations at any time and from time to time with out assigning any reason whatsoever.

All regular employees who have put in minimum 2 years of service are only eligible for this facility.

The interest subsidy will be payable on loans raised for either of the following purposes only:

a. Construction of residential accommodation/flat
b. Purchase of ready built house/flat for residential purpose
c. Acquiring a bigger accommodation for a growing family or in keeping with the higher status by selling existing smaller house but not for repairs/alterations or improvements

The subsidy will be allowed on the loan actually raised but not exceeding 60 months basic salary or Rs.10 lakhs or 90% of the agreement value of the asset, whichever is less.

The maximum term, for which assistance allowed shall not exceed 15 years or the date of retirement/separation from the company on whatsoever reason, whichever is earlier.

An employee eligible under the facility will be entitled for interest subsidy only against a single loan during the tenure of his/her service.

The base interest rate for all purposes under this facility is 5% i.e. the subsidy will be paid on interest paid to the financial institution in excess of 5% per annum. The subsidy payable to any eligible employee under this facility will not exceed 7% in any case.

Based on the annual interest payable by the employee to the institution, 5% will be borne by the employee and balance to the maximum extent of 7% will be given by the company as interest subsidy to the employee along with salary in equal monthly installments during the financial year.

The company does not take the responsibility of getting loans sanctioned from the financial institutions.
The application for interest subsidy will be considered subject to availability of funds from time to time.

The application for interest subsidy will not be considered if loan is taken for resort houses or refinancing earlier housing loans.

If both wife and husband are employed in the company, only one of them would be eligible for availing this facility.

The employee will have to obtain a provisional certificate indicating the rate of interest charged, EMIs payable giving breakup of Principal and Interest for that year from the financial institution at the beginning of the financial year and submit to HR & A Dept.

In addition, the employee will have to submit to the HR & A Dept. a certificate at the end of financial year indicating proof of payments made to the institution during the year.

In case the employee takes the loan during the financial year, the interest paid from the date of final disbursement of the loan up to March31, immediately following, will be considered for working out the subsidy and will be paid in EMIs in that financial year. For example, if the final disbursement takes place on 15th December 2002, the interest payable for the period 15th December 2002 – March 2003 will be considered and the subsidy will be paid in 3 installments commencing from January 2003. Employees are not entitled for reimbursement of any pre-paid EMIs and also for loan administration or processing fees.

Tax liabilities arise on account of this facility would be to employee account only.

The company reserves to itself the right to totally abrogate or later partly or fully or amend or withdraw the scheme and repeal or amend/modify these rules at ant time and from time to time without assigning any reason.

The subsidy is paid till the date of separation of the employee from the company or till the loan is repaid whichever is earlier.

Payment of interest subsidy shall not be considered as a service condition of employment or accrues any right on it and shall not be the wage or remuneration for any purpose for any statutory obligation such as EPF, Gratuity Etc.

Any misstatement or suppression of facts in application for grant of interest subsidy will render the employee liable for disciplinary action in addition to recovery of the interest subsidy paid, if any.

Procedure for Applying Interest Subsidy:

Eligible employees seeking a housing loan under this scheme are required to make an application in the prescribed format to the HR & A Dept. indicating their intention to avail a housing loan. HR & A will verify the application in terms of eligibility, funds availability etc. and forward the application to VP/CEO for approval. After obtaining the approval from competent authority, the HR & A will indicate the eligible loan amount on which the subsidy will be granted at his/her level at the time of availing the loan. The employee can then approach the financial institution for the loan duly adhering to the guidelines specified by the institution. On receipt of the final disbursement letter indicating the rate of interest charged, EMIs payable during the

year from the financial institution, a copy of the same should be submitted to the HR & A Dept. who in turn will arrange for payment of interest subsidy. An employee can avail loan of a higher amount than he/she is eligible for based on the discussions with the institution. However, he/she will have to bear the entire interest burden on the difference and will get the interest subsidy only on the eligible loan amount.

4.4.5 Vehicle Loan Scheme

This scheme is primarily divided in to two parts i.e. Part A and Part B. Part deals with the "Two Wheeler" Loan and Part B deals with Car Loan. Loan provision under this scheme is entirely at the discretion of the management.

PART A – TWO WHEELER

1. ELIGIBILITY

All employees who are on the regular rolls of the Company who have completed minimum 2 years regular service in the company are eligible for this facility. This loan will be available only for the purchase of a new two wheeler. However, this loan may be granted for a second hand vehicle also subject to the assessment of the purchase price of such vehicle by the two member committee appointed by the Management for that purpose. Sanction of loan shall be purely at the discretion of the management and subject to the budgetary provisions made in that particular financial year.

2. LOAN AMOUNT

   Rs.35000/- in cases of employee who are in the grade of A1/T1 to S2 and Rs.55000/- in case of employees who are in the grade of JM1 to MM1.

3. INTEREST & REPAYMENT TERMS

   a) Interest on this loan would be @ 2.5% per annum.

   b) If the loan is Rs.55,000/- or less, the recovery will be in 72 equated monthly installments (6 years).

   c) In case of loans in excess of Rs.55,000/-, the recovery will be in 96 equated monthly installments (8 years).

d) If the employee has less than 60 or 96 months of service before retirement as the case may be, the recovery of the loan amount will be worked out proportionately to ensure that the loan is repaid in full before his retirement.

e) For the employees who have availed this loan before 31st March 2003, the loan recovery will be done in 120 EMIs as per the earlier scheme conditions.

f) The repayment schedule will commence from the month following the month in which loan is disbursed.

g) Repayment of Interest will commence from the month following the month in which the entire principal loan amount is cleared in full, till which time the monthly payable interest will get accrued. The accrued interest amount will also be recovered at the same rate of EMI paid for clearance of the principal loan. No interest on accrued interest is payable.

4. FUEL & MAINTENANCE EXPENDITURE

All expenditure pertaining to the vehicle including comprehensive insurance shall be borne by the employee.

5. PROCEDURE

a) An employee after identifying the vehicle to be purchased should make an application in the format enclosed which can be obtained from HR & Admn. Dept. and the application should be routed through the head of the concerned department. While forwarding the applications with their recommendations, the H.O.D. should certify that possession of the vehicle by the employee is essential due to functional requirement.

b) This loan will be disbursed directly to the seller only.

6. OTHER CONDITIONS

a) This loan shall not be granted to an employee for whom conveyance is provided by the company either way of providing a company owned vehicle or other mode of transportation facility.

b) This loan shall not be granted to an employee/executive who availed any other type of vehicle loan from the company.

7. SECURITY

a) The employee shall execute a DEED OF HYPOTHECATION on stamp paper of the value of Rs.100/- (Rupees Hundred only) hypothecating the vehicle so purchased to the company until the loan is repaid in full. During the currency of the loan, the employee shall not sell or otherwise dispose of the vehicle except with the express consent in writing of the Management. In case of disposal, the sale proceeds shall be first utilised for clearance of the outstanding loan and if any balance is still outstanding, the same must be paid to the Company forthwith.

b) The employee shall also cover his vehicle under a Comprehensive Insurance Scheme and shall be liable to keep the Insurance Policy alive during the currency of the loan.

c) In case of resignation/termination of an employee, the employee shall settle the outstanding loan amount immediately.

d) In case of death of an employee during the tenure of loan period, Management reserves the right at its discretion to adjust the outstanding loan amount against the dues payable to the employee.

8. SECOND AND SUBSEQUENT LOAN

Second and subsequent loan, if any would be at the discretion of the management subject to clearance of all pending loans and dues to the company.

PART B – CAR

1. ELIGIBILITY

Executives who are on the regular rolls of the Company in the grade of Manager (MM 2) and above and who have completed minimum two years service in the Company are eligible for this facility. This loan will be available only for the purchase of a new car. However, this loan may be

granted for a second hand car also subject to the assessment of the purchase price of such vehicle by the two-member committee appointed by the Management for that purpose. The eligibility will not be a matter of right and the Management shall at its own discretion consider and approve applications received from the employees.

2. LOAN AMOUNT

a) The maximum loan amount to the respective grades is as follows including the one time costs such as registration, life tax, and initial accessories:

Chief Executive Officer			Rs.6,00,000
SM4	-	Vice President	Rs.4,50,000
G2	-	General Manager	Rs.4,00,000
SM2	-	Dy.General Manager	Rs.3,50,000
SM1	-	Senior Manager	Rs.3,00,000
MM2	-	Manager	Rs.2,50,000

b) Alternative to the above, Management may hire the vehicles of different model/make and allot to executives with out driver for their official use.

3. INTEREST RATE AND REPAYMENT TERMS

a. Interest on this loan would be @ 2.5% per annum.

b. If the loan is Rs.55,000/- or less, the recovery will be in 72 equated monthly installments (6 years).

c. In case of loans in excess of Rs.55,000/-, the recovery will be in 96 equated monthly installments (8 years).

d. If the employee has less than 60 or 96 months of service before retirement as the case may be, the recovery of the loan amount will be worked out proportionately to ensure that the loan is repaid in full before his retirement.

e. For the employees who have availed this loan before 31st March 2003, the loan recovery will be done in 120 EMIs as per the earlier scheme conditions.

f. The repayment schedule will commence from the month following the month in which loan is disbursed.

g. Repayment of Interest will commence from the month following the month in which the entire principal loan amount is cleared in full, till which time the monthly payable interest will get accrued. The accrued interest amount will also be recovered at the same rate of EMI paid for clearance of the principal loan. No interest on accrued interest is payable.

4. FUEL & MAINTENANCE EXPENDITURE

a) All expenditure pertaining to the vehicle including insurance shall be borne by the executive.

b) In case the vehicle is hired and allotted to the executive, only the maintenance cost and fuel expenses shall be borne by the concerned executive.

5. PROCEDURE

a) An employee after identifying the vehicle to be purchased should make an application in the format enclosed which can be obtained from HR & Admn. Dept. and the application should be routed through the head of the concerned department. While forwarding the applications with their recommendations, the H.O.D. should certify that possession of the vehicle by the employee is essential due to functional requirement.

b) This loan will be disbursed directly to the seller only.

6. OTHER CONDITIONS

a) This loan shall not be granted to an employee for whom conveyance is provided by the company either way of providing a company owned vehicle or other mode of transportation facility.

7. SECURITY

a) The employee shall execute a DEED OF HYPOTHECATION on stamp paper of the value of Rs.100/- (Rupees Hundred only) hypothecating the vehicle so purchased to the company until the loan is repaid in full. During the currency of the loan, the employee shall not sell or otherwise dispose of the vehicle except with the express consent in writing of the

Management. In case of disposal, the sale proceeds shall be first utilised for clearance of the outstanding loan and if any balance is still outstanding, the same must be deposited forthwith. The employee shall cover his vehicle under a Comprehensive Insurance Scheme and shall be liable to keep the Insurance Policy alive during the currency of the loan.

b) In case of resignation/termination of an employee, the employee shall settle the outstanding loan amount immediately.

c) In case of death of an employee during the tenure of loan period, Management reserves the right at its discretion to adjust the outstanding loan amount against the dues payable to the employee.

8. SECOND AND SUBSEQUENT LOAN

Second and subsequent loan, if any would be at the discretion of the management subject to clearance of all pending loans and dues to the company.

9. INTERPRETATION/MODIFICATION OF THE SCHEME

The above rules are subject to modification, amendment and alteration by the Management at any time, without assigning any reasons, or without giving any prior intimation to the Employees. The interpretations of the above Rules as made by the Company shall be final and the same is binding on the Employees. Employees will not have any right to demand for the loan after meeting the eligibility criteria. Management reserves all rights in this regard.

4.4.6 Leave Encashment

Encashment of annual leave will be allowed to the maximum extent of 15 days only in a calendar year. Basic Pay of the employee as on the date of application, shall only be considered for encashment.

Employees will have to make the claim in the prescribed format

4.4.7 Wedding of Employees or their Children

The company will extend the following courtesies for the wedding of the employees or that of their children:

A wedding gift in cash, equivalent to Rs.1500/- or gift worth of Rs.1500/- (the maximum amount) would be given to the employee

4.4.8 Gift Presentation at the time of Employee Separation

A gift worth up to Rs.1000/- (the maximum amount) may be presented to an employee at the time of his/her separation from the company, provided the employee has put in minimum of 2 years service with the company including training period, if any. In case the employee is terminated on misconduct grounds, no gift be presented.

If a farewell gathering is arranged, a sum not exceeding Rs.1000/- per occasion may be incurred.

5. INSURANCE & RETIRAL BENEFITS

5.1 Insurance under Personal Accident Policy

5.1.1 Objective :

To compensate an employee if she/he sustains any bodily injury arising out of any accident

To compensate the family member(s) (as declared in the policy nomination) of the employee, in the event of death of an employee arisen out of an accident

5.1.2 Coverage:

Employees who are on regular rolls of the company and also the employees who are appointed on fixed period employment basis (contract employment) but does not include employees who are covered under Employees State Insurance Act, 1948 and Apprentices Act, 1961 and Contractors' Personnel.

All eligible employees shall be covered under Individual Accident Policies for the sum equivalent to 100 months of basic salary of the employee. The policy shall cover the employee 24 hours a day, 365 days a year, anywhere in the world. The policy shall be such that irrespective whether an accident occurs during the course of employment or not, the compensation, as defined in the policy, shall be payable by the insurance company to the claimant through EIPL. However, the following are the illustrative list of exceptions:

A. Intentional Self –Injury, Suicide or Attempted Suicide
B. Policy shall not cover alcoholics and no compensation be payable if it is proved that the accident or the death as the case may be, occurred whilst the employee was on alcoholic condition
C. Policy shall also not cover the persons undergoing treatment for epilepsy
D. Policy shall also not cover death, injury or disablement arising out of pregnancy
E. War, aviation other than a passenger, motor rallies, terrorism or anything similar

5.1.3 Benefits:

a. A one time compensation, equivalent to the total sum insured in case of death due to accidental cause

b. A one time compensation in case of bodily loss as defined in the following clauses
c. Weekly compensation in case of disablement requiring the employee to stay away from work on leave with out pay. In case the employee is allowed to be on leave with pay by the employer, the amount so claimed under weekly benefits shall be to the account of employer only and employee shall not be allowed to avail both the benefits

Scale of Benefits

Description	Compensation as % sum insured
Death	100
Loss of sight on both eyes	125
Loss of both hands	125
Loss of both feet	125
Loss of one hand and one foot	125
Other total permanent disablement	100
An Arm above the shoulder joint	70
An Arm above the elbow joint	65
A hand at the wrist	55
A thumb	20
An index finger	10
Any other finger	5
A leg above mid thigh	70
A leg up to mid thigh	60
A leg up to beneath the knee	50
A leg up to mid calf	45
A foot at the ankle	40
A large toe	2
Any eye	50
Hearing on one ear	30
Hearing on both ear	75
Sense of Smell	10
Sense of Taste	5

In case of partial loss of one of these parts or sensory organs, proportionate sum would be payable. However, any compensation payable shall be in accordance with policy conditions only

5.1.4 Claim Procedure:

Activity	Time Duration
The injured or the family member of the injured or deceased in case of death shall intimate the information on the	As soon as possible and but in any case within

following to HR & A Dept., in case the accident occurs outside work premises and while not on the job: A. Details of Injured / Deceased B. Nature of Injury C. Details of Hospital where treatment is carried with details of attending doctor, date of admission etc	48 Hours of the accident
The HR & A shall pass on the information to the insurance company in writing	Within 24 hours of receipt of information
After completion of treatment, the injured fills up the claim form of the insurance company under the advise of HR & A and hands over the same to HR & A for onward submission to the insurance company	Within 5 days from the date of completion of medical treatment
Insurance Company processes the claim and compensation will be sent to EIPL directly by way of cheque or demand draft	Normally within 30 days from the date of receipt of claim from EIPL
HR & A will forward the cheque / DD to the employee concerned / family member of the deceased concerned as per the nomination available. If no nomination is available, it would be sent to the legal heirs. In case of any dispute, such cases will be dealt with on case to case basis duly following the legal issues. In case of weekly benefits, if the employee was allowed to be on leave with pay during treatment period, no amount would be payable to the employee concerned.	Within 5 days from the date of receipt of cheque, if no dispute exists w.r.t. the beneficiary(s)

HR & A shall ensure that a nomination form (duly filled-in & signed) is obtained from the employee in whose favour the policy is intending to be obtained for, and the same shall be informed to the insurance company and kept in the file maintained for this purpose.

5.2 Insurance under ESI Act, 1948

The promulgation of Employees' State Insurance Act, 1948 envisaged an integrated need based social insurance scheme that would protect the interest of workers in contingencies such as sickness, maternity, temporary or permanent physical disablement, death due to employment injury resulting in loss of wages or earning capacity. The Act also guarantees reasonably good medical care to workers and their immediate dependants.

Employees' State Insurance Scheme of India is an integrated social security scheme tailored to provide social protection to workers and their dependants, in the organized sector, in contingencies such as sickness, maternity and death or disablement due to an employment injury or occupational hazard. The ESI Scheme is mainly financed by contributions raised from employees covered under the scheme and their employees, as a fixed percentage of wages. Employees of covered units and establishments drawing up to Rs.6500/- per month come under the purview of the scheme for social security benefits. However, employees earning up to Rs.40/- a day as the wages are exempted from payment of their part of contribution. The State Govts bear one-eigth share of expenditure on medical benefit within the per capita ceiling of Rs.600/- per annum. Employees covered under the scheme are entitled to medical facilities for self and dependants. They are also entitled to cash benefits in the event of specified contingencies resulting in loss of wages or earning capacity. The insured women are entitled to maternity benefit for confinement. Where death of an insured employee occurs due to employment injury, the dependants are entitled to family pension. The Section 46 of the Act envisages following six social security benefits:

a. Medical Benefit
b. Sickness Benefit (Extended & Enhanced Sickness Benefits
c. Maternity Benefit (MB)
d. Disablement Benefit (temporary / permanent)
e. Dependants Benefits
f. Funeral Expenses

An interesting feature of the ESI Scheme is that the contributions are related to the paying capacity as a fixed percentage of the workers wages, whereas they are provided social security benefits according to individual needs with out distinction. Cash benefits are disbursed by the corporation

through its local offices/pay offices subject to certain contributory conditions. In addition, the scheme also provides some need based benefits to insured workers. These include Rehabilitation Allowance and Vocational Rehabilitation.

ESI Scheme being contributory in nature, all the employees in the factories or establishments to which the Act applies shall be insured in a manner provided by the Act. The contribution payable to the Corporation in respect of an employee shall comprise of employer's contribution and employee's contribution at a specified rate. The rates are revised from time to time. Currently, the employee's contribution rate (w.e.f.1.1.97) is 1.75% of the wages and that of employer's is of 4.75% of the wages paid/payable in respect of employees in every wage period. Employees in receipt of a daily average wage up to Rs.40/- are exempted from payment of contribution. Employers will however contribute their own share in respect of these employees.

Collection of Contribution

An employer is liable to pay his contribution in respect of every employee and deduct employees contribution from wages bill and shall pay these contributions at the above specified rates to the corporation within 21 days of the last day of the calendar month in which the contributions fall due.

Contribution Period

There are tow contribution periods each of six months duration and two corresponding benefit periods also of six months duration as under:

Contribution Period	Corresponding Cash Benefit Period
1st April to 30th Sept	1st Jan to 30th June of following year
1st Oct to 31st March	1st July to 31st December of the following year

5.3 EPF 1952 and EPS 1995

5.3.1 Objective:

To provide EPF/Employees Pension Scheme benefits to all employees, as provided under the Employees Provident Fund & Miscellaneous Provisions Act, 1952 and Schemes made thereunder

5.3.2 Scope:

a. All regular employees and also the employees appointed on fixed period employment basis including trainees
b. Contractors' Personnel shall be covered through the Contractor's EPF Code only

5.3.3 Contributions:

Both the employee and employer will contribute in the following manner:

Employees contribute 12% of his/her monthly basic salary towards contribution to EPF.

Employer also contributes @ 12% of monthly basic salary of the employee but the contribution gets distributed as under:

3.67% towards contribution to EPF on the entire amount of monthly basic salary

8.33% towards contribution to Employees Pension Scheme up to monthly basic salary of Rs.6500/-.

If the monthly basic salary exceeds Rs.6500/-, no contribution to EPS @ 8.33% on the amount over and above Rs.6500/- will be made but the entire '12%' on the amount, over and above Rs.6500/- will be deposited in EPF Account.
If any employee wishes to contribute to EPS on the amount over and above Rs.6500/- also, he/she may express his/her desire in writing to HR & A to do so.

Once the employee is covered under the Act, he shall continue to be covered till his separation from the company or attains the age of 58, even though his/her salary exceeds Rs.6500/- at any time during tenure of the employment.

The ceiling described herein i.e. Rs.6500/- may be changed from time to time as per the directives of EPFO.

5.3.4 Claims and Other Benefits:

Claim for EPF and EPS and Non-Refundable Withdrawals shall be made in accordance with the rules set in the respective schemes. Declaration Format under EPF & EPS shall be in the format prescribed

5.4 EIPL Employees Group Insurance Scheme in lieu of EDLI 1976

This scheme is governed by the following rules set in accordance with the requirements of the EDLI Scheme 1976 and LIC of India, the organization which operates the scheme.

1. In these rules, where the context so admits, the masculine shall include feminine, the singular shall include the plural and the following words and expressions shall, unless repugnant to the context, have the following meanings:

   (i) "the COMPANY" shall mean East India Petroleum Private Limited, H.O: 41, Pandurangapuram, Visakhapatnam – 530 003 & Registered Office: Road No.65, Plot No.1289, Jubilee Hills, Hyderabad – 500 034.

   (ii) "the CORPORATION" shall mean the Life Insurance Corporation of India established under Section 3 of the Life Insurance Corporation Act, 1956.

   (iii) "the SCHEME" shall mean East India Petroleum Private Limited Employees Group Insurance Scheme.

   (iv) "the FUND" shall mean the Provident Fund of the company established in terms of the Employees' Provident Funds and miscellaneous Provisions Act, 1952.

   (v) "the RULES" shall mean the Rules of the Scheme as set out below and as amended from time to time.

   (vi) "the MEMBER" shall mean a permanent employee of the Company and an employee appointed on the rolls of Company on contract basis and eligible to be admitted to the membership of the Scheme and on whose life an Assurance has been effected in accordance with the Rules.

   (vii) "EFFECTIVE DATE" shall mean the 01.06.1999 from which the Scheme commences.

   (viii) "ENTRY DATE" shall mean (a) in relation to a member admitted to the Scheme on the Effective Date, the Effective Date and (b) in relation to a new Member to be admitted to the Scheme after the Effective Date, the date on which he becomes a member of the Fund.

(ix) "ANNUAL RENEWAL DATE" shall mean, in relation to the Scheme, the 01.06.99 and the 31.05.99 in each subsequent year.

(x) "the ASSURANCE" shall mean the Assurance effected on the life of the Member.

(xi) "the NOMINEE" shall mean the person or persons who has/have been nominated by the Member under the Provident Fund to receive the benefits in the event of his death.

(xii) "SALARY" shall mean the monthly salary of the Employee eligible for Provident Fund as defined in Employees' Provident Funds and Miscellaneous Provisions Act, 1952 as amended from time to time.

2. The Company will act for and on behalf of the Members in all matters relating to the Scheme and every act done by agreement made with and notice given to the Corporation by the Company shall be binding on the Members.

3. ELIGIBILITY:

The employees who are on the rolls of the Company and within the following category shall be eligible to join the Scheme:

a) All employees who are admitted as members of the Provident Fund from Company's Code No. AP/31559. Present employees who, on the effective Date, are within the above category shall join the Scheme from that date and the present employees who are not within above category on the effective date shall join the scheme on the relevant entry date.

b) No member shall withdraw from the scheme so long as he satisfies the conditions of eligibility described above.

4. EVIDENCE OF AGE:

The Company shall arrange to submit to the, Corporation evidence of age in respect of each Member at the time of entry into the Scheme.

5. PREMIUMS:

a) The company shall pay to the Corporation in respect of each member on the Entry Date and the relevant Annual Renewal

Dates such premiums as are required to secure the benefits under the Assurance effected on his life in accordance with these rules.

b) If there is any default by the Company in payment of the premium within the stipulated time, the corporation will intimate that fact to the Regional Provident Fund Commissioner.

c) The company undertakes to continue the scheme for duration of not less than 3 years.

6. ASSURANCES:

On the Entry Date the Assurance shall be effected on the life of each member under One Year Renewal Group Term Assurance Plan for a Sum Assured of Rs.37000/- (Rs.62000/- w.e.f.24th June 2000)

The Company 'UPON TRUST' for the benefit of the persons entitled to in accordance with Rules shall hold the Master Policy incorporating the Assurances.

7. RENEWAL OF ASSURANCES:

The Assurance shall be renewed for the Sum Assured to be determined on each Annual Renewal Date by multiplying "SALARY" by the relevant "FACTOR" as in previous paragraph relating to Assurance by payment of Premium for Members who continue to be in the service of the Company.

8. BENEFITS ON DEATH WHILST IN SERVICE:

Upon the death of the member whilst in service, the Sum Assured under the Assurance shall become payable to the Nominee.

9. TERMINATION OF ASSURANCE:

(i) The Assurance on the life of a Member shall terminate upon the happening of any of the following events:

(a) the Member ceasing to be in the service of the company, or
(b) the Member ceasing to be an eligible Member under the Provident Fund.

(ii) DEFAULT IN PAYMENT OF PREMIUMS:

In case of non payment of premiums under the scheme for a period of six months from the due date, the Assurance effected on the lives of members shall automatically terminate on the expiry of the said period or from the date of revocation of exemption order by the Central Provident Fund Commissioner, if earlier. The Life Insurance Corporation of India shall, however, intimate the default in payment of premiums to be concerned Regional Provident Fund Commissioner soon after the expiry of the month from the due date of the unpaid premium.

10. REFUND OF PREMIUM ON LEAVING SERVICE

If the Member leaves the service of the Company, the Assurance effected in respect of him will terminate and the Corporation will refund to the company proportionate premium relating to the un-expired period for which the premium is paid.

11. RESTRAINT ON ANTICIPATION OR ENCUMBRANCE

The benefits assured under the scheme are strictly personal and cannot be assigned, charged or alienated in any way.

12. DISCONTINUATION OR AMENDMENT OF THE SCHEME

The Company reserves the right to discontinue after a period of three years, the Scheme or to amend the Rules thereof on any Annual Renewal Date, provided that the Scheme can be discontinued or the Rules amended only after obtaining prior approval of the Regional Provident Fund Commissioner.

13. JURISDICTION:

All Assurances issued under the Scheme shall be subject to the provisions of the Income Tax Act, 1961 and to any legislation subsequently introduced.

14. MASTER POLICY:

The Corporation will issue to the Company a Master Policy incorporating all the Assurances effected under the scheme.

15. NOMINATION:

Upon the death of the Member whilst in service, the Sum Assured under the Assurance on his life will become payable to

the Nominee or Nominees appointed by the Member under the Provident Fund. If no nomination subsists or if the nomination relates only to part of the benefits, than the whole sum assured or part thereof, as the case may be, shall become payable to the members of his family in equal shares as provided in the Employees' Deposit Linked Insurance Scheme, 1976.

16. RATES OF PREMIUM AND CONDITIONS OF ASSURANCE:

The rates of premium and conditions of Assurance under which the Corporation is prepared to arrange the Scheme shall be subject to an agreement between the Company and the Corporation. The Corporation may modify the conditions of Assurances and Rates of premium on any Annual Renewal Date, subject to 3 months notice being given to the Company.

17. GENERAL:

The Scheme is arranged to provide the life assurance benefits to the employees in lieu of the benefits envisaged under the Employees' Deposit Linked Insurance Scheme, 1976. The scheme shall remain in operation as long as the Company is exempted from the provision of the said Employees' Deposit Linked Insurance Scheme, 1976 and shall not be discontinued without obtaining prior permission of the Regional Provident Fund Commissioner. If, at any time, the benefits under the Employees, Deposit Linked Insurance Scheme is increased by the Government, then the Company also, will in consultation with the Corporation, take steps to increase life assurances benefits under the Scheme to that level.

Claims under the above scheme shall be through company in the manner prescribed by LIC of India.

5.5 EIPL Employees Group Gratuity Scheme

This scheme is governed by the following rules set in accordance with the requirements of the Payment of Gratuity Act, 1972 and LIC of India, the organization which operates the scheme.

SECTION I

DEFINITIONS, ELIGIBILITY & REQUIREMENTS FOR MEMBERSHIP

1. DEFINITIONS:

In these Rules, where the context so admits, the masculine shall include the feminine, the singular shall include the plural and the following words and expressions shall, unless repugnant to the context, have the following meanings:

(i) 'COMPANY' shall mean East India Petroleum Private Limited and subject to the prior approval of the Commissioner of Income Tax shall include any firm, concern, agency or body corporate which may, by purchase, amalgamation or otherwise take over the whole or substantially the whole of the business of the company and which shall enter into a Deed in such a form as the Trustees shall require undertaking to continue the obligations of the Company under these presents and releasing the company from all further liability thereof.

(ii) "CORPORATION" shall mean Life Insurance Corporation of India, established under Section 3 of the Life Insurance Corporation Act, 1956;

(iii) "SCHEME OR FUND" shall mean E.I.P.L. Employees' Group Gratuity Trust Fund, described in these Rules.

(iv) "RULES" shall mean the Rules of the Scheme as herein set out and any amendment from time to time;

(v) "TRUSTEES" shall mean the Trustees for the time being of the Scheme.

(vi) "EMPLOYEES" shall mean permanent Employees of the Company, other than personal and domestic servants and shall be deemed to include whole time bonafide working Directors who do not own beneficial shareholding carrying more than 5% voting rights in the Company.

(vii) "MEMBER" shall mean an Employee who has been admitted to the membership of the Scheme.

(viii) "THE BENEFICIARY" shall mean the wife and/or child or children and/or dependents of the members.

(ix) "EFFECTIVE DATE" in relation to the Scheme shall mean the 01.04.1999 the date as from which the Scheme takes effect.

(x) "ANNUAL RENEWAL DATE" in relation to the Scheme shall mean the 31.03.2000 and the 31st Day of March, each subsequent year.

(xi) "NORMAL RENEWAL DATE" in relation to the scheme shall mean the 31.03.2000 and the 31st day of March, each subsequent year.

(xii) "NORMAL RETIREMENT DATE" shall mean in respect of each member the date on which he completes the age of 58 or 65 years as fixed by the Management of the Company at its absolute discretion and notified to LIC in each case from time to time.

(xiii) "SERVICE" shall mean continuous service rendered by the member to the Company including Periods of authorised leave. For the purpose of the Scheme, a period of 6 months and over shall be reckoned as one year.

(xiv) "ANTICIPATED SERVICES" shall mean in relation to a member who dies while in service before the Normal Retirement Date the service which he would have completed had he lived up to his normal Retirement Date.

(xv) "SALARY" includes Dearness Allowance, if the terms of employment so provide but excludes all other allowances and perquisites.

In respect of Monthly rated employees a day's salary shall mean 1/26th of his month salary.

2. THE TRUSTEES TO ACT FOR THE COMPANY AND MEMBERS:

The Trustees will act for and on behalf of the Company and Members in any matter relating to the Scheme and every act done by agreement made with and notice given to the Corporation by the Trustees shall be binding on the Company and the members.

3. ELIGIBILITY:

The Employees who are in the following category shall be eligible to participate in the scheme:

(a) "Permanent Employees who are aged not less than 18 years and not more than 65 years".

(b) Employees in the above category who are in the service of the Company on the Effective Date shall join the scheme as form that date. Present employees who are not in the above category on the Effective Date and employees appointed by the Company after the effective date shall join the scheme on the Date on which they become eligible.

(c) Company's decision regarding eligibility final: The company's decision regarding the eligibility of an employee for the purpose of the scheme shall be final and binding on all the parties concerned. No member shall withdraw from the scheme while he is still an employee within the category stated above.

4. EVIDENCE OF AGE:

Evidence of age of every employee satisfactory to the Corporation shall be furnished before he is admitted to the Scheme and if the age of the Member is conclusively proved later to have been incorrectly stated in the evidence submitted, the Corporation shall make appropriate adjustment in the benefits having regard to its normal practice.

5. EVIDENCE OF INSURABILITY:

For the purpose of effecting Term Assurance in respect of the Member, evidence of Insurability satisfactorily to the Corporation shall be required prior to the employees' entry into the Scheme and on each occasion when an increase in sum assured is to be granted.

SECTION – II

CONTRIBUTIONS AND SCHEME OF INSURANCE

6. CONTRIBUTIONS:

There shall be paid by the Company to the Trustees in respect of each member, the contributions mentioned in Sub-paragraph (1) below annually in advance on the date of entry of the Member into the scheme and on the relevant Annual Renewal Dates and the contributions mentioned in sub-paragraph (ii) below in one lumpsum on the date of entry or not more than five annual instalments commencing from the date of entry into the scheme and the Trustees shall pay the same to the corporation for providing the Gratuity benefits to the members under a Scheme of Insurance.

(i) Ordinary Annual Contribution:

The ordinary annual contributions shall be such amounts as shall be determined and recommended by the Corporation within the Limits stipulated under Rule 103 of I.T. Rules, 1962 for securing the benefits herein before described. The Contribution shall be expressed as a percentage of the Salary of each member and may be varied from time to time on the basis of an evaluation of the benefits to be made at intervals of not more than 5 years. The contribution will be paid throughout the future service of the Members unless specified otherwise in the rules.

(ii) Initial contribution for past service:
The company may pay any sums by way of initial contributions in respect of the Members, relating to their past service with the Company, as shall be determined and recommended by the Corporation within the limits stipulated under rule 104 of I.T. Rule 1962 for securing the benefits relating to such past service and on paying such sums shall advise the trustees to their allocation to all or specified members.

Provided that the contribution payable by the Company in any year in respect of any Member in terms of sub-paragraphs (I) above shall not exceed 8 1/3% of the salary, paid to the member during the year and the initial contribution referred to in sub-paragraph (ii) above shall not exceed 8 1/3% of the salary paid to the member for the each year of his past service with the company. Provided further that if the contributions are not sufficient to secure full benefits and described before, the benefits will be appropriately scaled down.

7. SCHEME OF INSURANCE:

(i) The Trustees shall enter into a scheme of Insurance with the Corporation for providing the benefits to the members. Subject to the provisions of Rule 5, an Assurance will be effected on the life of each member under One Year Renewal Term Assurance plan for a sum assured equal to the difference between (a) one month salary as on the date of entry into the scheme or the Annual Renewal Date as the case may be for each year of his Anticipated Servuce subject to a maximum of Rs.3.5 lakhs and (b) one month salary as on the date of entry into the Scheme or the Annual Renewal Date, as the case may be for each year of service, subject to a maximum of Rs.3.5 lakhs provided that the Corporation may, in the case of any member restrict the sum assured for

which the assurance is to be effected to a smaller amount on the basis of the evidence of health submitted in respect of that member. The assurance will be renewed on the Annual Renewal Dates for appropriate sums assured.

(ii) After appropriating the required amounts towards the premium payable year to year for the Life Assurance benefit and the administrative expenses, if any, of the Corporation, the balance of the Contributions will be held by the Corporation to the Credit of the Trustees. The Corporation will allow interest on the balances remaining in the above mentioned running account for each financial year ending 31st March at a rate to be determined by the Corporation at the close of the year.

(iii) When gratuity becomes payable to a member on his retirement or cessation of service, or to his Nominee in the event of his death, the Corporation shall pay to the Trustees the benefits payable according to the Rules out of the balances remaining in running account and also under the Term Assurance in case of death.

SECTION III

BENEFITS

8 BENEFITS ON RETIREMENT AT OR AFTER NORMAL RETIREMENT DATE/EARLY RETIREMENT DUE TO ILL HEALTH AND DEATH WHILE IN SERVICE AFTER NORMAL RETIREMENT DATE.

Upon the retirement of a Member on or after Normal Retirement Date, or upon death whilst in service after Normal Retirement Date or upon Retirement owing to ill health or incapacitation, the

benefits payable will be equal to last drawn one month salary for each completed year of service, subject to a maximum of Rs.3.5 lakhs.

9 BENEFITS ON DEATH BEFORE NORMAL RETIREMENT DATE

Upon the death of a member whilst in service before normal retirement date, the benefit payable will be equal to one month salary as on the date of death for each year of his anticipated Service, subject to a maximum of Rs.3.5 lakhs. Provided that in respect of a member for whom the Term Assurance effected in terms of member Rule 7 is insufficient to provide the above stated benefits, the benefit payable will be equal to the total of:

(i) The sum assured under the Term Assurance on the date of death ; and
(ii) One month salary for each year of service up to the date of death, subject to a maximum of Rs.3.5 lakhs.

10 BENEFIT ON LEAVING SERVICE

Upon a member leaving the service of the Company after completion of minimum period of three years of service, the benefits payable will be equal to one month salary as on the date of leaving service for each completed year of service, subject to a maximum of Rs.3.5 lakhs. The member will not be entitled to any benefits if he leaves the service before completing three years of service.

11. FORFEITURE OF GRATUITY:

A) Gratuity shall be wholly forfeited in case of termination of service of the member (I) for riotous or disorderly conduct or any other act of violence on his part or (ii) for any act which constitutes an offence involving moral turpitude provided such offence is committed by him in the course of his employment.
B) In case of termination of service for any act, wilful omission or negligence of the member causing any damage or loss to or destruction of property belonging to the company, gratuity payable under the scheme shall be forfeited to the extent of the damage or loss so caused.

12. The gratuity payable in respect of any member under the scheme shall be paid only in a lumpsum.

SECTION-IV

MISCELLANEOUS PROVISIONS

13. RESTRAINT ON ANTICIPATION OF ENCUMBRANCE

The benefits assured under the Scheme are strictly personal and cannot be assigned, charged or alienated in any way.

Except as provided in these Rules, no member or his Beneficiary shall have a legal claim, right or interest in the Scheme. PROVIDED ALWAYS THAT the Trustees shall administer the scheme for the benefit of the members and their Beneficiaries in accordance with the provisions of these Rules.

14. JURISDICTION:

The Master Policy issued under the Scheme shall be an Indian contract, subject to the Laws of India, including the Income Tax Act, 1961, the payment of Gratuity Act, 1972 and to any legislation subsequently introduced. All benefits under the scheme shall be payable only in India. Should anything contained in these Rules, or in any amendment made thereof be repugnant to any provisions of the Income Tax Act, 1961, or the Income Tax Rules 1962, it shall be ineffective to the extent of such repugnance.
The Trustees shall remove any such repugnance if so directed by the Commissioner of Income Tax.

15. MASTER POLICY:

The Corporation will issue a single Master Policy to the Trustees to provide for the benefit of the Members under the scheme.

16. DEDUCTION OF SUMS DUE TO INCOME TAX AUTHORITIES

(a) INCOME TAX AND OTHER TAXES:
In any case where the Corporation or the Trustees are liable to account to the Income Tax Authorities for Income Tax on any payment made under the Rules, the Corporation or the trustees as the case may be shall deduct a sum equal to such tax from any such payment made and shall not be liable to the members for the sum so deducted.

(b) If the Gratuity Fund and Scheme for any reason cease to be approved by the Commissioner of Income Tax, the Trustees shall nevertheless remain liable to tax on any benefits paid to any member or his beneficiary.

17. NOMINATION:

(a) Every Member shall make a nomination conferring on one or more persons the right to receive the benefits hereunder in the event of his death before the benefits become payable. Such a nomination shall be made according to the form given in the Appendix.

(b) Where a member has a family at the time of making nomination, the nomination shall be in favour of one or more persons belonging to his family. Any nomination made by such a member in favour of a person or persons not belonging to his family members shall be invalid.

(c) If at the time of making a nomination, the member has no family, the nomination may be in favour of any person or persons but if the member subsequently acquires a family, such nomination shall forthwith be deemed to be invalid and the member may make a fresh nomination in favour of one or more persons belonging to his family.

(d) A nomination made by a member may at any time be modified by him after giving a written notice to the trustees of his intention of doing so. If the nominee predeceases the member, the interest of the nominee shall revert to the member, who may thereupon make a fresh nomination.

(e) A nomination or its modification shall take effect to the extent it is valid on the date on which the trustees receive it.

(f) If a nominee is appointed and the member does not leave a family, then the benefits shall lapse to the Fund.

Explanation: For the purpose of this Rule, "Family" means the employees' spouse, legitimate children, step-children and dependent partners, sisters and minor brothers.

18. INTERPRETATION OF RULES:

It shall be a condition of the membership of the Scheme that on any question arising on any point of interpretation of these Rules or any point relating admission of new Members and cessation of Membership, the decision of the Trustees shall be final. If the decision has any bearing on the provisions of Part'C' of the Fourth Schedule of the Income Tax Act, 1961 or the Rules made thereunder it shall be forthwith reported to the Commissioner of Income Tax and if the Commissioner of Income Tax so requires, the Trustees shall review the decision.

Claims under the above scheme shall be through company in the manner prescribed by LIC of India under intimation to Asst.Labour Commissioner (Central), Viskahapatnam.

Nomination under the scheme shall be made as per the prescribed format
Modification of Nomination shall be made as per the prescribed format
Appn. for Gratuity by a Nominee shall be made as per the prescribed format
Appn. for Gratuity by a Legal Heir shall be made as per the prescribed format
Appn. for Gratuity by an employee shall be made as per the prescribed format

6. PERFORMANCE MANAGEMENT SYSTEM

Introduction:

The Appraisal System is a key Human Resource Management System.

The purpose of performance appraisal system is to improve the organization's performance through the enhanced performance of individuals. This booklet spells out the components of the system and how the system is to be implemented, as the value of any system does not lie in the system per se but in the manner in which it is implemented.

Objectives:

- To increase mutual understanding of performance requirements to ensure fulfillment of organizational goals
- To increase awareness of and accountability for targets set / tasks assigned
- To provide an effective tool for monitoring performance and giving feedback
- To note and analyze any problems in meeting requirements
- To provide the opportunity to discuss aspirations and concerns about career prospects and the present job
- To determine the strengths and weaknesses of employees, plan for required counseling, training and development
- To define or redefine future objectives
- To use it as an effective tool for assessing reward, job rotation, career and succession planning, punishment and to assess the organizational support required for improving individual performance
- To help the employees to prepare for possible future assignments
- To improve communication and mutual understanding between the employees and his immediate manager

Structure:

Organizational Goals
↓
Broken in to Functional Goals
↓
Broken in to Individual Goals
↓
Key Result Areas (KRAs) are identified
↓
KRAs are broken in to Objectives with pre-set performance levels
↓
Output is measured through levels attainment in each activity
Periodic Assessment by the employee and superiors are done
Final Assessment is done at the end of the year
↓
Performance Review and Development Document is Generated
↓
This Document Acts as a basis in reward management and career development

Effective Appraisal Process - Pre-Requisites:

- *A clear definition of the PURPOSE OF THE JOB that summarises the overall role of the job from the organisation's point of view; why the job exists and what contribution it is expected to make – all this normally expressed in a single sentence*

- A statement of the KEY RESULT AREAS that flow from the purpose of the job – statements of the continuing end results and outcomes required of the job, statements which identify what the job achieves and why.

- Having listed the key result areas, it is necessary to clearly state the OBJECTIVES for the year. These objectives must flow from the business and functional plans.

- For objectives to invoke commitment, they MUST BE AGREED BETWEEN THE JOBHOLDER AND HIS SUPERIOR AND not set unilaterally.

- The appraisal process must focus on PERFORMANCE AGAINST AGREED OBJECTIVES, enable the individual to feedback to the organization

- For objectives to be meaningful they must be SPECIFIC, MEASURABLE, ATTAINBLE, RELEVANT and TIME BOUND.

- The process must FOCUS ON PERFORMANCE, not personality; on facts, not perceptions; and demonstrated behavior, not hunches.

Key Result Areas:

Recognized as that aspect of business / organization wherein a positive or a negative performance will have significant overall impact on business / organization. They are generally

Broad Based

Non Specific

Relatively Permanent / Long Duration

Once KRAs are identified, they should satisfy the following tests:

Each KRA should:

Represent output, not input

Lead to associated objectives, which are measurable

Be an important part of the position

Be within the actual limits of authority and responsibility

KRAs should not be so many as to avoid dealing with the essence of the job, or so few as to make planning difficult

KRAs with respect to the associated positions should avoid overlaps and underlaps

Setting / Defining Objectives:

Good work or operational objectives are:

Consistent: with the values of the organization and departmental and organizational objectives

Precise: clear and well defined, using positive words

Challenging: to stimulate high standards of performance and to encourage progress

Measurable: they can be related to quantified or qualitative performance standards

Achievable: within the capabilities of the individual – any constraints that might affect the individual's capacity to achieve the objectives must be taken in to account

Agreed: by the manager and individual concerned – the aim is to provide for the ownership, not the imposition, of objectives

Time Related: achievable within a defined time scale

Team Work Oriented: emphasize teamwork as well as individual development

Objectives must be

Specific	:	the appraisee must understand them clearly
Measurable	:	in terms of quantity, quality, cost and time
Attainable	:	targets must have inbuilt stretch but yet be within the capabilities of the appraisee
Relevant	:	to the role and responsibilities of the job and link up with organizational and functional plans
Time Bound	:	agree to time frame within which objectives must be achieved, which will also help prioritization

Objectives can be both task and development focused. Objectives must be **SMART**

<u>Agreeing Objectives:</u> Can be achieved by the manager and the individual getting together and answering the following questions:

- What is the overall purpose of the job"
- What are the main tasks, which have to be carried out to achieve the overall purpose?
- What organizational / departmental objectives do we need to take in to account in setting objectives for this job?
- Taking each main task in turn, what, precisely, is the job holder expected to achieve expressed in the form of a target, a standard of performance or a project or a special task to be completed as appropriate?
- Are each of these objectives SMART?

- How are both the manager and the job holder going to know the extent to which the objectives have been achieved(what are the performance measures or indicators)

Types of Appraisals: Three types of Appraisals:

1. Management Staff Appraisal
2. Supervisory / Junior and Middle Management Staff Appraisal
3. Non Management Employees Appraisal

Self-Appraisal is an ingredient part of all appraisals

Appraisal Process:

- Employee completes self-appraisal in the time given.
- Completed self-appraisal to be given to the appraiser.
- Appraiser completes the appraisal form in the given time.
- A meeting between appraiser and appraisee is fixed at a particular time for discussing the issues of self-appraisal and appraisal. Shares the opinion each other. The appraisee will be made aware of the ratings given by the appraiser.
- In case of Management Staff, KRAs and Performance Objectives are to be defined for the next appraisal period
- In case of Supervisory/Junior and Middle Management Staff, objectives are to be drawn for the next appraisal period
- In case of Non-Mgt. employees, development goals are to be drawn for the next appraisal period
- KRAs/Objectives/Development Goals as the case may be, are recorded.

Development Plan:

- Development Plan is another ingredient part of all appraisals
- Development Plan is a joint responsibility of the appraiser and the appraisee
- It is an important aspect of the appraisal process which brings out the development needs of an appraisee, which enhance individual, team and organizational effectiveness
- Specific development plan should be generated by the appraiser along with the appraisee. Reporting Officer is also required to give his comments on the development plan
- Formal Training Programmes are only one of the several developmental inputs available. Other inputs are – Task Forces/Special Assignments/Committees/Projects/Visit to places of best practices etc.

- A paradigm shift has to take place from Company-driven Learning to Self-driven Learning i.e. the initiative for development comes from the individual, with the organization assisting in the process.

Potential Assessment:

- Potential Assessment is another ingredient part of appraisal
- Before commenting on potential, one should first consider "Potential for What" (the next higher job or a different role/task etc.)
- Identifying the Appraisee's potential shall be done by the reporting officer and reviewing officer on the basis of :-
    1) Skills, Knowledge and Behaviour (SKB) as exhibited in the previous years
    2) Strengths and Areas of Improvement identified
    3) Analysis of competencies required for (in terms of SKB and Attitude) the next higher job or a different role/task for which appraisee might be considered in future

Performance Note:

It is a separate document to be maintained by the HoD in respect of all employees working in the particular department. Any significant achievement or significant failure shall be endorsed in this note from time to time and bring to the notice of the concerned employee. This form will be useful during mid-term and final review of the next appraisal.

ELEMENTS IN APPRAISAL FORMS AND THE RATINGS:

Management Staff Appraisal: The following elements appear in the Management Staff Appraisal Form. Description of each element i.e. the definitions of element and performance indicator are also given. The Scoring Key is given at the end of the element section.

1. Resilience : Deals successfully with criticism, uncertainty, pressure, failure and setbacks. Accepts responsibility for, and perseveres with, difficult or unpleasant tasks. Speaks up when appropriate and not reluctant to express their point of view, even when in the minority. Does not avoid confrontation where needed. Takes reasonable risks to achieve outcomes.

2. Delegation : Actively encourages subordinates and others to undertake responsibilities and tasks, supporting them materially and psychologically. Consults with others and listens to advise. Displays trust in the skills and good sense of subordinates. Does not over manage the work of others or try to control the intricacies of every situation. Shares information as needed. Recognizes and acknowledges the contributions of others.

3. Credibility : "Practices what is preached" – that is, leads by example, doing the same things they expect or tell others to do. Forthright and honest but also tactful and diplomatic when subtlety is required. Does not over commit, exaggerate or make promises that can not kept. Shows consistency in behavior and attitudes and inspires trust in others.

4. Strategic Skills : Does not forget the big picture, even in the midst of pressing short-term problems. Skilful at creating realistic long-term plans (individually or in collaboration with others). Anticipates emerging threats and opportunities, and identifies what matters most. Strong forward-thinker with a clear vision of the best direction for the organization, department or team.

5. Operational Skills : Organizes day-to-day personnel, materials and resources under the control to achieve the maximum benefit. Recognizes the practical limits of the work place and appreciates what can and can't be done. Responds quickly and appropriately to sudden problems and unexpected opportunities. Proficient at interpreting strategies and plans and making them happen on-time and on-budget.

6. Decision Skills : Makes decisions that are appropriate, timely and well informed. Evaluates complex situations quickly and accurately. Balances competing priorities to the best advantage even under rapidly changing and confusing conditions. Decisive but not impulsive, showing restraint and prudence when required.

7. Adaptability : Open and ready for change. Learns quickly from past mistakes and adapts rapidly to new challenges. Does not cling unreasonably to established plans and goals, nor to the existing or customary ways of doing things when change is unavoidable or desirable, and supports whole heatedly.

8. Persuasiveness : Motivates, persuades and galvanizes others. Promotes and defends the need for a united course of action even when the course is difficult or unpopular. Encourages subordinates and others to cooperate to work together, to perceive and appreciate their common interest, and to minimize internal conflicts and counter-productive rivalries.

KEY

Score	Indicative Statements
29-32	▪ Exceptional Leadership ▪ Leaders at this level are uncommon.
21-28	▪ Strong Leadership ▪ Highly effective manager ▪ Have a good chance of success in almost any leadership role ▪ Acutely conscious of the importance of good leadership and continues to improve their performance with additional training and experience
12-20	▪ Competent Leadership ▪ Performs satisfactorily in most aspects of management ▪ Competent and dependable performance in middle management
4-11	▪ Marginal Leadership and / or Developing Leadership ▪ Junior or inexperienced managers ▪ Performance will improve with training, experience or maturation.
0-3	▪ Ineffective Leadership ▪ Training in basic attributes of effective leadership is must

Supervisory / Junior and Middle Management Staff Appraisal: The following elements appear in the Supervisory / Junior and Middle Management Staff Appraisal Form. Description of each element i.e. the definitions of element and performance indicator are also given. The Scoring Key is given at the end of the element section.

1. Job Knowledge: How well is the job understood? Job knowledge is the amount of job-relevant knowledge and skill an employee has. This may include awareness, possession or mastery of special facts, practices, manual skills and techniques, decision-making methods, supervision skills etc. An employee with high level of job knowledge would be capable of performing most if not all of the normal tasks in his job independently. An employee with a low level of knowledge would require regular guidance and support from others in order to complete even normal tasks. If employees do not have an acceptable level of job knowledge, they will be unable to complete normal job duties, leading to many difficulties including inefficiencies, rising costs, excessive supervision, risks to safety and risk of harm to client and customer relationships.

- (5) Exceptional :: Employee displays a consistently high level of job knowledge that regularly exceeds requirements. Consistently able to complete all of the normal work tasks of the job, as well as unusual and difficult tasks independently. Employee is consulted by others often, and are recognized and trusted for his/her job knowledge. Employee is aware of the importance of job knowledge and consistently seeks out new knowledge and usually inspires or guides others to do the same.
- (4) Advanced :: Employee shows a high level of job knowledge, exceeding requirements in some areas, but not consistently and not in all parts of the job. Regularly completes all of the normal work tasks of the job and at times unusual and difficult tasks independently. May at times be consulted by others for guidance. Employee is aware of the importance of job knowledge and usually seeks out new knowledge when he/she can.
- (3) Competent :: Employee regularly meets the job knowledge requirements of the job. Able to complete the normal or typical work tasks of the job with out guidance and support from others. May at times need help; for example, when unusual circumstances arise or out of the ordinary problems confront them. Recognizes the value of building and maintaining his/her job knowledge and make some effort to do so.
- (2) Improvement Needed :: Employee is showing inconsistency in meeting requirements for job knowledge in the position. At times he is unable to complete normal or typical work tasks without guidance and support. Some tasks may be let incomplete or completed incorrectly. Not fully recognizes the importance of building and maintaining his/her job knowledge. Enough effort to acquire needed knowledge and skills to be put in.
- (1) Major Improvement Needed :: Regularly failing in meeting requirements. Regularly unable to complete the normal or typical tasks of the job without considerable guidance and support from others. Not aware of how inadequate his knowledge is, and/or have little appreciation for the importance of improving it.

2. Work Quality : How good is the work produced? Work quality refers to effort that consistently achieves desired outcomes with a minimum of avoidable errors and problems, as well as a minimum consumption of resources such as time, money and materials. Low quality work fails to achieve its desired or required outcomes and is plagued by avoidable errors, problems, wastage and excessive consumption of resources. High quality work also means being conscious of the need to continuously seek out better ways of working. If work quality does not achieve its desired outcomes, is not free or largely delays, complaints will increase and service quality will fall. As well as opportunities may be lost and customer and client relationships put at risk.

- (5) Exceptional :: Consistently or frequently exceeds requirements. Work output always or nearly always achieves intended or required outcomes with a minimum of waste and expense. Error rate is consistently low and the employee is always or nearly always self-monitor and self correct for avoidable errors and problems. Work effectiveness is well known by the peers and has reputation for setting the "standard". Consistently seeks more effective ways of working.
- (4) Advanced :: Produces work that usually exceeds requirements. Shows that he/she has the talent and skill to produce highly effective work (even if that level is not achieved consistently). Employee's overall error rate is low and employee is usually self-monitor and self correct for errors and problems. Generally uses resources wisely. Displays a keen understanding of the principles of effectiveness and efficiency and usually seeks more effective ways of working.
- (3) Competent :: Regularly meets the effectiveness requirements for the job. Achieves work output regularly in desired or required way with an error or problem rate that is acceptable or typical for the type of work. Usually shows that he/she can self-correct for errors and problems.
- (2) Improvement Needed :: Shows inconsistency in the work effectiveness. Error and problem rate is usually higher than acceptable; this means that a larger than usual quantity of work must be repeated, rejected or corrected by others. Shows persistent tendency to not achieve, or only partially achieve desired or required work outcomes. Shows some skill in detecting and self-correcting for errors and problems, but this does not happen often enough. Shows a tendency to excessive resource use.
- (1) Major Improvement Needed :: Regularly fails in meeting requirements for work effectiveness. Work output regularly does not achieve its desired or required outcomes, or only partially achieves. Error rate is high and work must be regularly repeated, rejected or corrected by others. Where work is completed, it usually entails excessive resource consumption and waste. Employee seems to lack the skill or willingness to self-correct for errors and problems.

3. Work Rate : How much work is produced? Every job has an optimal work rate, at which the ordinary duties of the job may be satisfactorily completed within an acceptable time. Yet two employees doing the same job may produce different outputs. All other things being equal, the amount of work each produces will depend on their personal work speed, concentration and endurance. For example, employees with a high work out put tend to work quickly but safely, concentrate well and sustain their effort level. They will also display skill monitoring and regulating their output to ensure needed tasks are completed on time. If the job has a fixed work rate see special note below*. If the work rate of an employee is too low, required tasks and projects will

not be finished on time, leading to organizational problems such as the failure of planning and co-ordination efforts, inability to meet obligations, lost opportunities and increased costs.

- (5) Exceptional :: Shows a consistently high and safe work output, with sustained concentration and endurance clearly evident. Assigned tasks and projects are often completed ahead of the required or expected time. Usually seeks extra tasks or projects to undertake, or helps others complete their tasks and projects. Always or almost always shows self monitor and self regulate the own work output to ensure completion of all needed tasks.
- (4) Advanced :: Usually displays a high level of safe work output. Some work tasks and projects are completed ahead of time and most are completed on time. At times seeks additional tasks and projects to complete, or help others to complete their tasks and projects. Usually shows self monitor and self regulate the own work output to ensure completion of all needed tasks.
- (3) Competent :: Meets the work output requirements for the job. Assigned work tasks and projects are usually completed on time. Occasional tasks and projects may be a little late, but not to the point of causing serious difficulties. Shows that he/she is aware of the need to produce an acceptable level of work output, and usually self monitor and self regulate the own work rate to ensure that needed tasks are completed on time.
- (2) Improvement Needed :: Shows inconsistency in work output and falls below the acceptable level too often. Works too slowly or shows lack of concentration or consistency of effort. Work tasks and projects are significantly late at times or left incomplete, with serious or potentially serious consequences. Showing insufficient skill in self monitoring and self regulating in the work rate.
- (1) Major Improvement Needed :: Work output is consistently low and the employee fails to complete assigned work tasks on time.

Special Note: while most jobs offer the possibility of a varying work rate, some have a fixed rate. This occurs where the job consists of inflexible duties, with little or no opportunity for an employee to vary the output. An example of fixed rate job is the pilot who must fly an aircraft along as et route at a schedule rate. The pilot can not finish the job faster than expected and decided to get started early on next weeks' flights. Since the work volume is inflexible, the issue of effectiveness (work quality) becomes more important as a discriminator of work performance. To reflect this increased importance, the employee is a fixed rate job should be given the same rating for work rate as for work quality.

4. Communications : How well does the employee communicate? Communications refers to the ability to communicate orally and/ or in writing, with clarity and good effect. It also means to understand clearly and quickly when communications (such as instructions,

orders or complaints) are received. Communications involves the employee's ability to judge what information is important and what is not, and what should be communicated, how, to whom, and when. If an employee fails to communicate effectively when the need arises, or fails to understand or respond appropriately to communications directed at them by others, problems arise including the failure of planning and co-ordination efforts, internal inefficiencies, lost opportunities and increased costs.

- (5) Exceptional :: Shows a consistently high level of communications. Always or nearly always communicate clearly and effectively, in writing and / or orally. Displays a very quick grasp of the significance of information communicated, and always or nearly always initiates or responds to communications in an appropriate, timely and comprehensive manner. Communications style is vivid and compelling. Often displays skill in reducing complex information to simple forms and helping others to understand that information.
- (4) Advanced :: Shows a good to high level of communications. Usually communicate clearly and effectively, both in writing and orally. Usually demonstrates a quick and clear grasp of the significance of information communicated and usually initiates or responds to communications in an appropriate, timely and comprehensive manner. At times shows skill in reducing complex information to simple forms, and in helping others to understand that information.
- (3) Competent :: Meets the requirements for the job. Usually shows that he/she understands the need to initiate or respond to information in an appropriate, timely and complete manner. Oral and written communications are usually acceptable, being both comprehensible and appropriate. May be there are occasions when employee not communicated and / or responded well, but this is not the rule. Usually understands written and or oral instructions and responds quickly. Usually do not misunderstand or cause others to misunderstand by bad communication.
- (2) Improvement Needed :: Shows inconsistency in communications. Displays a tendency to slowness in passing on important information. Slow in responding to or understanding information communicated. Instructions are requests require repetition and explanation. Written and / or oral communications fail to convey their full meaning and leave others confused or ill informed. Evidence of low literacy skills, poor listening skills.
- (1) Major Improvement Needed :: Regularly fails to meet requirements for written and /or oral communications. Regularly fails to communicate, listen to or correctly understand information, instructions, complaints etc. Do not appear to grasp the significance of information communicated nor understand the need to pass on, or respond to information in an appropriate and timely manner. Even routine information is regularly misunderstood. Evidence of low

literacy skills, poor listening skills.

5. Interpersonal Relations : How well does the employee get on with others? Interpersonal Relations refers to the effect that the employee has on others, including their ability to establish and maintain positive and productive working relationships. Employees with low skill often involved in conflict and misunderstandings with peers, clients, superiors and others. Their 'personal style' seems to cause many avoidable problems. They may be described (variously by others) as insensitive, overbearing, undependable, abrasive etc. By contrast, employees with high levels of interpersonal skill tend to inspire goodwill, co-operation, trust and mutual respect among a wide range of people. If employees lack skills in interpersonal relations, they will be unable to work closely and effectively with peers, superiors, clients and others. This can lead to numerous and costly problems, including conflict, distrust, stress, team failure and low morale.

- (5) Exceptional :: Consistently high level of interpersonal skill in dealing with others. The employee has a wide network of good working relationships with peers, subordinates, superiors, customers, clients and others. Rarely involved in unnecessary or trivial disputes and misunderstandings. Makes a consistent effort to encourage trust and co-operation, and takes leading role in fostering a positive and productive team spirit. Shows well developed talent in special areas such as persuasion, conflict resolution, motivation or leadership. Very Strong team member.
- (4) Advanced :: Shows good to very good level of interpersonal skill and has good working relationships with most of their peers, subordinates, superiors, customers and others. Usually not involved in unnecessary or trivial disputes and misunderstandings. At times, takes leading role in building team spirit and encourages trust and cooperation among others. Shows talent in special areas such as persuasion, conflict resolution, motivation or leadership. Strong team member.
- (3) Competent :: Meets the interpersonal requirements for the job. Have good working relationships with most of the peers, superiors, subordinates and others. Generally recognizes the importance of building and maintaining positive work and team relationships. Involves in trivial disputes or misunderstandings occasionally, but usually finds ways to resolve interpersonal problems on own. Usually makes reliable and solid team members.
- (2) Improvement Needed :: Shows inconsistency in interpersonal conduct. Evidence of problems, for example, excessive complaints from fellow workers, clients and others. Seems to be continually involves in misunderstandings and trivial squabbles. Shows some appreciation of the need for good working relationships and usually

have a small network of others with whom he/she works reasonably well. Team performance suffers due to the impact of the employee's interpersonal manner.

- (1) Major Improvement Needed :: Fails to meet the interpersonal requirements for the job. Employees style of relating to others is generally inappropriate and appears to cause many avoidable – and sometimes quite serious problems with peers, customers, suppliers and others. Usually employee shows little or no skill in resolving these matters. Seems to be unaware of, or even indifferent to, the effects of his/her manner on others. Often falls in to a pattern of denial and blames others.

6. Policy Compliance : Does the employee understand and comply with policies and practices? Organization has policies and practices dealing with issues such as record keeping, property safety, work safety, systems compliance (Operations / E&OHSMS) etc. High compliance involves an awareness of the policies and practices, plus willingness to comply with all reasonable requirements. An employee with low compliance will show that they are unaware, unwilling or indifferent about the need of reasonable compliance and may appear to 'bend the rules' at nearly every opportunity. If an employee fails to comply with policies and practices, the organization or its members, customers or clients may be exposed to avoidable risks and harm. The policies and practices of an organization are preventive strategies against anticipated threats and problems. By falling to comply, an employee exposes the organization to the very risks and harms it seeks to avoid.

- (5) Exceptional :: Shows consistently high and broad knowledge of the organization's policies and practices. Also demonstrates a consistently high level of willingness to comply with all reasonable requirements and shows a high level of skill in applying policies and practices. Takes a leading role in educating or persuading others to comply.
- (4) Advanced :: Shows a good to very good level of knowledge of the organization's policies and practices. Usually demonstrates a high level of willingness to comply with all reasonable requirements. Displays a good level of skill in applying policies and practices. At times educate or persuade others to comply with policies and practices.
- (3) Competent :: Meets the organization's policies and practices requirements. Have a satisfactory knowledge of most of the policies and practices that directly affect the job. Demonstrates willingness to comply with all reasonable requirements. Usually applies routine policies independently, but may need help when unusual situations arise. Unusually ignore an important policy or practice deliberately or carelessly.
- (2) Improvement Needed :: Shows inconsistency in his/her knowledge and /or application of policies and practices, even of routine ones that

apply directly to the job or area. Complies with some policies and practices. Seeks to give the impression of compliance while taking "shortcuts" and other risks that could compromise the organization. Limited understanding of policies and practices.

- (1) Major Improvement Needed :: Fails to meet the requirements for policy compliance. Displays an apparent unawareness, denial or reckless disregard for important and reasonable policies and practices., even basis and routine ones. Do not understand or accept the need for compliance and deliberately seeks to avoid compliance either openly or secretly. Pattern of systematic or habitual non-compliance over a considerable time period.

7. Attendance : Is the employee available for work when expected? Attendance refers to the consistency that an employee shows in turning up for work and completing their normal work hours. Problems occur where there are un-notified and / or unjustified lateness in starting work unnoticed and /or unjustified early departures from work. Where employees have poor attendance there is often recurring pattern of absenteeism of lateness, and leave allocations maybe exceeded. If an employee fails to attend work when required, the normal functioning of the organization will be disrupted and planning co-ordination breaks down. Other employees may be forced to ignore own duties to make up fore the absences of a co-worker. This manageable within limited, but becomes a serious problem when absenteeism is excessive, not notified or unjustified.

- (5) Exceptional :: Rarely absents from work and rarely late without an acceptable or plausible reason. Any incident or lateness is always notified to the concerned promptly, together with reasonable explanations or supporting documents if required. Normal leave allowances are rarely if ever exceeded. General pattern of absenteeism in comparison to others is very low.
- (4) Advanced :: Rarely absents form work and rarely late without an acceptable or plausible reason. Any incident of absence or lateness is usually notified to the concerned promptly. Reasonable explanations or supporting documents are usually provided. Normal leave allowances are rarely exceeded. General pattern of absenteeism in comparison to others is low.
- (3) Competent :: Meets the attendance requirements for the job. Usually provides a prompt notification and reasonable explanation for any absence or lateness. Occasional incidents of absence or lateness that may have been avoidable or appears unjustified, but there is no evidence of systematic or chronic lateness or absence. General pattern of absenteeism is moderate and within the organizations' accepted limits.
- (2) Improvement Needed :: Shows inconsistency in attendance. Emerging absenteeism problem. Leave allowances stretched to the

limit or exceeded. Do not provide prompt notifications of absence or reasonable explanations or supporting documents. Repeated instances of apparently avoidable or unjustified absenteeism. Evidence that absenteeism is becoming systematic. In comparison to others, the general pattern of absenteeism is moderate to high.

- (1) Major Improvement Needed :: Regularly fails to meet attendance requirements. Unwilling or unable to give plausible reasons or supporting documents to explain their absence or lateness. Employee simply does not turn up to the job with out any notification. Normal leave allowances exceed substantially. General pattern of systematic or chronic absenteeism over a lengthy time. Do not understand or accept that absenteeism is a problem and effect the co-workers and organization.

KEY

Performance (Level achieved for each factor)	Major Improv-ement Needed	Improv-ement Needed	Compe-tent	Advanc-ed	Except-ional
JOB KNOWLEDGE					
WORK QUALITY					
WORK RATE					
COMMUNICATIONS					
INTERPERSONAL RELATIONS					
POLICY COMPLIANCE					
ATTENDANCE					
RATING RANGES	1	2	3	4	5

Summary

Score	Indicative Statements
30-35	▪ Exceptional :: Employee demonstrates outstanding performance , well above the standard required for the job. Relevant skills and abilities tend to be very highly developed and are applied with consistent good effort.
25-29	▪ Advanced :: Employee demonstrates good to very good performance above the normal standard for the job. Relevant skills, abilities tend to be strongly developed and are applied with consistent good effort.
21-24	▪ Competent :: Employee demonstrates acceptable performance which tends to match the job's required standard. Relevant skills, abilities and effort are appropriate, normal or typical for the job.
18-20	▪ Improvement Needed :: Employee demonstrates performance below the required standard for the job, but which may be improved with guidance, training or experience. Skills, abilities or effort may be lacking or applied inconsistently.
Less than 18	▪ Major Improvement Needed :: Employee demonstrates performance that is well below the required standard for the job. A serious performance problem is evident and requires urgent attention. Skills, abilities or effort may be lacking or applied in consistently.

Non-Management Employees Appraisal: The following elements appear in the Non Management Appraisal Form. Description of each element i.e. the definitions of element and performance indicator are also given on the following page. The Scoring Key is given hereunder.

Element	Maximum points
Work knowledge	15
Quality & Timely completion of work	15
Dependability	10
Initiative	10
Work Systems Compliance	10
Attitude towards work	10
Attendance, punctuality, cost conciseness, communication skills etc.	10
Relations with peers, superiors and others	10
ISO 14001 & OHSAS 18001 :: Knowledge and Participation in System Compliance	10

KEY

Above 80 :: Outstanding
Between 70 and 79 :: Very Good
Between 60 and 69 :: Good
Between 50 and 59 :: Average
Less than 50 :: Poor

General:

Privacy

- Appraisal information should be regarded as confidential
- Appraisal interviews should be conducted in private
- An appraisal should not be developed in to a heated argument
- It is the appraisers' responsibility to call a break if needed
- Suspend the appraisal until the person involved is calm and composed
- Before presenting seriously adverse feedback, discuss with officers, your direct boss or HR – Ask them to evaluate the fairness of your comments and ratings
- Employee may show anger or disappointment
- Explain that the appraisal contains the basis for future improvement

Responsibility

- Appraisal is of the most important and difficult tasks you will ever perform as an officer
- Appraisal should be ethical, honest and fair
- Appraiser must strive for balance and objectivity

Powerful

- Research shows that most employees want and expect officers to provide clear and honest feedback
- Well conducted appraisals are powerful tool for motivating, developing and communicating with employees

Appraisal Discussion

- Create a conducive and enabling environment (warm welcome/build rapport/put at ease)
- Begin with the purpose of the Appraisal Review
- Ask open ended questions for views and listen actively with empathy
- Encourage participation, discussion, seek input and allow time for the appraisee to open up
- Discuss one point at a time to its completeness
- State cause / problem form your perspective if required and discuss with specific data – avoid too generalized statements

- Ask for suggestions and suggest if required
- Discuss all points pertaining to the individual and make him realize the importance of efforts required for self development
- Make a mutually agreed objectives and Action plans for the next year
- Fix a follow-up date
- End on a positive note

An On-Going Process

It is necessary to engage in a formal appraisal process once a year. However, everyone involved in the activity must guard against the danger of the process degenerating in to a year-end ritual–something to be got over with for the sake of the from. Once objectives are set at the beginning of the year, any time is a good enough time for the jobholder and his boss to engage in a review of how things are going. Periodic Review and Feedback on performance as well as the process of dialoguing whereby the individual feeds back his own feelings, difficulties, challenges etc. spurs on performance and enables the achievement of results against agreed objectives as well as reinforces 'desired behaviors'.

Potential Appraisal :: Tips to the Appraisers

- Ability to envisage the enterprise as a whole
- Ability to understand the implications of an issue/situation with respect to the organization
- Ability to integrate the factors influencing major policy & business decisions
- Ability to translate systems, methods & procedures effectively
- Awareness of the recent developments and changes in one's field of specialization
- Possessing clarity of thought and expression
- Good letter drafting & presentation skills
- Inter personal ability & ability to relate a group
- Ability to relate the superiors peers and subordinates in a formal as well as in informal manner
- Ability to forecast the future needs and set specific goals and time schedule for attaining the objectives
- Ability to prioritize the goals with respect to the objectives
- Ability to anticipate the resources required and plans the budget
- Effective co-ordination and resource management ability
- Exhibit initiative and eagerness to perform more than what is normally expected of one on the job
- Equip one-self in anticipation for what is required in the new assignment
- Ability to achieve the set targets within specified time schedule
- Exhibit interest and enthusiasm to do a job

- Make suggestions for improvements/innovations on the job
- Equip oneself with the current developments & knowledge required for the job
- Ability to set the objectives and lead the team in fulfilling the objectives
- Ability to motivate the team members and provide direction for attaining the objectives
- Ability to understand the individual needs of team members, empathize with them and resolve group conflicts
- Ability to work in a group, share information freely, respect the differences of team members and contribute effectively to the completion of the assignment
- Assign responsibilities to the subordinate and give periodic feedback on the performance to the subordinate
- Develop a climate of co-operation and adopt a win-win strategy
- Ability to negotiate with vendors/ concerned resulting in reduced cost to the company
- Ability to identify & understand the problem, explore the alternatives, understand the environmental situation and then decide on the best alternative to resolve the problem
- Risk taking ability and ability to decide on the action to be taken in the light of the information available

7. SUGGESTION SCHEME

Object : To tap the hidden potential of the employees

To develop the thinking power of employees

To develop the Initiative and Innovative skills of employees

To achieve the continual improvement in various facets of organization activities by adopting the affordable, operable and economically viable suggestions

Details : Suggestions from employees shall be in relation to the following:

A. Environmental Related
B. Occupational Health & Safety Related
C. Operations & Maintenance Related
D. General Practices such as
   a. HR Policies & Practices
   b. Training & Man-Hour Utilization
   c. Employee Development
   d. Purchase & Stores Management
   e. Welfare & Administration
   f. Testing & Inspection
   g. Transport
   h. Cost Control & Avoiding Wastage
   i. Safety & House Keeping
   j. Utilization of Space & Machinery
   k. Change in Attitude

Any other – but related to organizational activities

Procedure : A. All Suggestions shall be in writing and the Suggestion Form specially designed for this purpose(annex 1), shall have to be used – If required, additional information may be given on separate sheets

B. Suggestion Forms and annexure(s) therewith, if any, are

to be handed over to HR & A Dept for further action

C. All Suggestions are to be kept confidential – Once the suggestion is evaluated and proposed to be put in to practice, the same will be displayed on the Notice Board, indicating the result achieved or to be achieved by adopting the suggestion made by the employee or team of employees

Evaluation : Evaluation Process will be carried out by the committee consisting Head of Operations, Head of HR & A, and Head of F&A on monthly basis.

The Quantifiable and Qualitative gains that may arise out of the suggestion(s) made, and the pros and cons of the suggestion(s) shall be discussed in detail by the committee and the decision taken by the committee shall be recorded including the support data. Quantifiable gain arising out of suggestions will attract higher credit points over qualitative suggestions. Team approach would attract higher credit points.

If the committee decides to implement the suggestion(s), the committee itself will chalk out a plan for implementation, involving the employee(s) who made the suggestion and other concerned employees. In case financial commitment is involved in implementing the suggestion(s), existing procedures with regard to approval etc. shall be followed as usual.

Evaluation process may be carried out by the committee through oral discussions / personal discussion with the employee / trail implementation of the suggestion / feedback from the affected or involved dept / experts from outside, if need be. However, it may vary from case to case basis.

Committee shall ensure the following while evaluation:

A. Economic Criteria (Benefit Vs. Expenditure, Short Term

or Long Term Gain Etc. – Both Direct and Indirect)

B. Operations Criteria (Effect on Operations, duly considering the safety and security of the plant and machinery, operable conditions etc.)

C. Recommendation for suitable reward for made the suggestion(s), which are considered for implementation. Recommendation shall be in line with the guidelines prescribed in this regard by the management

D. Unbiased evaluation

General : A. Necessary approval from the competent authority shall be taken, as per the rules that are in vogue or that may come in to force in future, before implementation of any suggestion.

B. Issues relating to Legal or issues which may have impact on legal aspects shall not make part this scheme.

C. Issues, which are projected through Aspects & Hazards Log (Register) would also be considered keeping in to account the relevance of the suggestion(s).

D. Management reserves the right to implement of the suggestion(s) and cancel/amend the scheme at any time at its discretion.

E. Committee would meet every second Monday of the month and take up the evaluation process.

Head of HR & A would co-ordinate the scheme operation and ensure proper record keeping.

8. TRAVEL & CONVEYANCE POLICY

EAST INDIA PETROLEUM PVT LTD

TRAVEL AND CONVEYANCE POLICY

1. **OBJECTIVE**: The objective of this policy is to lay down guidelines for conveyance and Travel undertaken by staff members in connection with Company's business.
2. **SCOPE:** The scope of this policy as detailed hereunder covers all aspects of local conveyance and Travel of the employees of the Company's Business. This documents covers the Travel and Conveyance policy as under:
   - 2.1 Categorization of staff for local conveyance and for travel. This categorization is only for the purpose of local conveyance and travel expenditure and is not to be used for any other purpose unless expressly stated in any other documents.
   - 2.2 Setting eligibility norms and guidelines for the entitlements as under:
     - Mode of travel
     - Boarding and Lodging / Daily Allowance / Local conveyance while traveling.
     - Local Conveyance at place of posting.
   - 2.3 Approval of travel requests.
   - 2.4 Documentation and procedure for settlement of traveling expenses and travel advance.
3. EMPLOYEE CATEGORIES: The employees of the company shall be categorized in the manner stated in Table 1 below:

S.No.	Travel Category	Designations
1	T1	Directors/CEO
2	T2	Sr. VP/VP/AVP /
3	T3	GM/DGM/ AGM/
4	T4	All other officers up to Sr. Manager
5	T5	All other Employees (Non-Officers)

4. ELIGIBILITY FOR MODE OF TRAVEL: The eligibility of various categories for mode of travel and local conveyance is as follow:

S. No.	Category	Local Conveyance		Domestic Travel
1	T1	Hired A/c car	As required	Air fare- Any Class
2	T2	Hired A/c car	Upto Accent	Air fare – Economy
3	T3	Hired A/c Car	Indica – A/c	Airfare – Economy
4	T4	Point to taxi		Rail fare – II A/C
5	T5	Auto / 2-	Taxi / Auto	Rail fare -

approved

		Wheeler		Sleeper

4.1 It may be noted that the above modes of travel are the best that is eligible, employees should prudently use the eligibility and prefer to travel by the most economic mode that is the shortest and offers them the comfort as well as the least loss of time, whether personal or official.

4.2 Local conveyance while travelling will be as per the local conveyance eligibility.

4.3 Employees are encouraged to use their personal vehicle for local conveyance at their place of posting. Reimbursement for such conveyance is given later in this document.

4.4 Mode of travel should be stated in the Tour approval form. Employees are encouraged to use the facility of the company to book for tickets wherever available.

4.5 Reimbursement is limited to the actual expenditure incurred as per eligibility on production of valid proof of expense.

5. ELIGIBILITY FOR TRAVELING EXPENSES: Expenses while on travel will be reimburse as follows:

5.1 Travel within India: The expenditure allowed is the actual expenditure per day subject to a maximum as stated below:

S. No	Category	Hotel		Food and others		Out of Pocket expenses (OPE)	Composite Allowance	
		CLASS 'A' cities	CLASS 'B' cities	CLASS 'A' cities	CLASS 'B' cities		CLASS 'A' cities	CLASS 'B' cities
1	T1	Actual	Actual	Actual	Actual	Rs. 400	Rs. 8000	Rs. 7000
2	T2	Rs. 8000	Rs.5000	Rs.1000	Rs.700	Rs. 300	Rs. 3000	Rs. 2000
3	T3	Rs.3500	Rs.2500	Rs.800	Rs.600	Rs. 200	Rs.1750	Rs.1250
4	T4	Rs. 3000	Rs.2000	Rs.500	Rs.400	Rs. 100	Rs. 1500	Rs. 1000
5	T5	Rs. 1500	Rs.1000	Rs.350	Rs.250	Rs. 75	Rs. 750	Rs. 500

5.1.1 Class 'A' cities are all state capitals. All other cities are Class 'B'

5.1.2 Employees should use Company / designated Guest House wherever available.

5.2 Hotel and Food expenses given above are reimbursed on actual expenses, subject to the maximum limits specified. Proof of expenditure should be given along with Travel Expenses Report.

5.3 No expenditure on alcohol is allowed except with the approval of the CEO. No expenses on tobacco / tobacco products is reimbursable.

approved

5.4 Employees should exercise prudence in hotel stay and should check – in or check out in a manner so that the least number of days are charged.

5.5 OPE will start accruing from the expected time of departure of the carrier by which the journey is proposed to undertaken and will end at the actual time of arrival of the carrier. OPE shall not be paid in case of travelling time of less than 12 hours. No vouchers need to be submitted for OPE.

5.6 Composite Allowance is payable to an employee if he/she is not utilizing the boarding facilities (Hotel / Guest House) while on tour and makes own arrangement. This amount can be claimed without bills.

6. APPROVAL OF TRAVEL REQUESTS:

6.1 For all employees of the Company, the Vice President of his/her department is authorized to approve any travel requests of employees of that department. In case, an employee is in a department that is not headed by a Vice- President, then the concerned Head of Department can approve such travel request.

6.2 Approvals for travel request can only be as per the eligibility stated in this document and within approved budget

6.3 Approval for local conveyance can be given by any person in the rank of a Senior Manager or above concerned with the department.

6.4 In case of a necessity for any employee to incur travel expenditure in excess of the eligibility stated in this policy or beyond budget, the CEO's approval should be obtained.

6.5 Approval of travel expenditure should be obtained prior to travel.

7. Documentation for travelling and conveyance:

7.1 Request for travel and advance: Approval for travel and for any advance required is a composite form and is as per Annexure 1. Such approval should be obtained by the employee prior to travel and submitted to the Accounts department for advance, if any. If no advance is required, then such approval should be submitted along with the Travel Expenses Report (TER)

7.2 Expenditure by company: Any expenditure incurred by the Company directly towards travel of any employee will be debited to the employees travel advance account. The advance will be reversed based on the expenditure shown in the TER.

7.3 All employees should submit a TER in a form as given in Annexure 2. TER should be submitted within 3 working days of arrival at the Base station. Failure to do so will result in adjustment of any advance taken for the travel to be deducted from their salary.

7.4 The TER should be submitted to the Accounts department for adjustment of travel advance/ claiming reimbursement of travel expenses.

7.5 Tour report: The employee is expected to submit a Tour report for every travel undertaken. A confirmation in this regard is to be given in the TER and the

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approving authority should ensure that the Tour report is given before approving the TER.

7.6 In case of any expenditure that is within the eligibility of the employee, the Accounts department will return the same to the employee either for obtaining an approval of the relevant authority or disallow the same if the approval is not obtained within 7 working days.

approved

FORMAT

ANNEXURE 1

EAST INDIA PETROLEUM PVT LTD

REQUEST FOR TRAVEL APPROVAL / ADVANCE

Date :……
Employee Name :……
Employee Number :……
Designation & Dept :……
Place of travel :……
Purpose of travel :……
Dates of travel : From date: …… To date:……
Total number of days:
……

Anticipated expenses:

S. No	Purpose	Details			
					Total
1	Travel				
2	Hotel				
3	Food etc.				
4	Local conveyance				
Total expenses anticipated					
Advance required in INR					

Self Certification of the Budget

Budget Available :
Used :
Checked By :

Signature of employee

Approved by: Name: ……
Designation:……
Signature: ……

* To be made duplicate. One copy to be sent to Admin for booking, one copy to be submitted along with tour expenses report

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FORMAT

Annexure 2

Travel Expense Statement												
Person		Purpose										
	From				To							
Places	Local Conveyance		Travel		Hotel	Food				Tips	Incidentals	Total
Date	Details		Details			Breakfast	Lunch	Dinner	Water		Books	
		Rs.		Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
												0
												0
												0
												0
												0
												0
												0
												0
												0
												0
												0
												0
												0
												0
												0
Total												0
Less Arranged Company												
Paid by Amex Card												
Balance reimbursable to me												0
	Paid/Arranged by Company											
italics	No supporting Vouchers											

Claimant Signature Approved By Accounts

Approved

EAST INDIA PETROLEUM PVT LTD

Amendments to Travel Policy Dated 01.07.10

Amendment 1: Clause 5.1 amended as below

5.1 Foreign Travel: Expenses for foreign travel allowed is the actual expenditure per day subject to the maximum as stated below:

S.No	Category	Hotel		Food and Others		Out of Pocket expenses(OPE)	Composite Allowance
		CLASS 'A' countries	CLASS 'B' countries	CLASS 'A' countries	CLASS 'B' countries		
1	T1	Actual	Actual	Actual	Actual	USD 50/GBP 33/Euro 39	USD 100/GBP 67/Euro 81
2	T2	USD 200	USD 125	USD 60	USD 60	USD 40/GBP26/Euro 31	USD 70/GBP 46/Euro 56
3	T3	USD 100	USD 75	USD 40	USD 40	USD 35/GBP23/Euro 27	USD 40/GBP 26/Euro 32
4	T4	USD 75	USD 60	USD 40	USD 40	USD 25/GBP 16/Euro 19	USD 33/GBP 22/Euro 26
5	T5	USD 75	USD 60	USD 40	USD 40	USD 25/GBP 16/Euro 19	USD 33/GBP 22/ Euro 26

Amendment 2: Additional Clause 5.12 inserted as below

5.12 For overseas travel, OPE can be claimed in addition to composite allowance.

This is valid from : 1st October 2010

Until : Amended or Rescinded

K.SHARATH CHOUDARY
(Managing Director)

22 October 2010

1/1 of Office Order No.05/2010-2011
Original to: Office Order File
Vice President – (VT)
Jt. General Manager
Jt. General Manager– Vizag
Accounts